

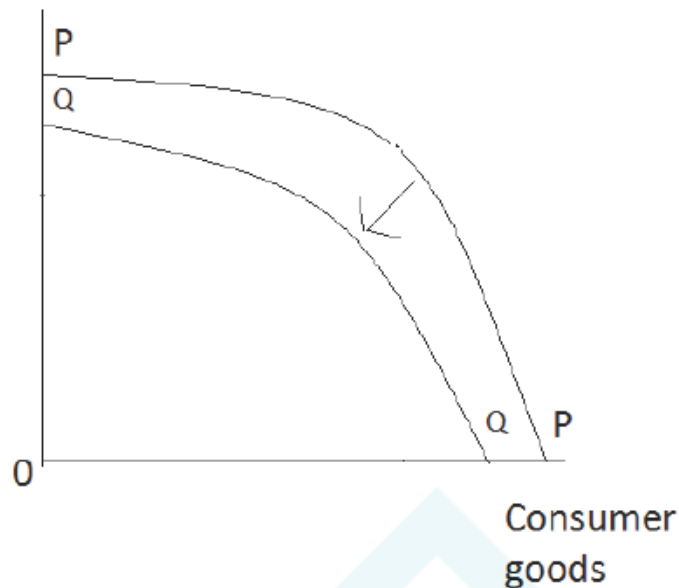
## Mark Scheme

Q1.

| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Mark |
|-----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (a)             | <p style="text-align: center;"><b>Knowledge 1, Application 1, Analysis 3</b></p> <p><b>Knowledge/understanding:</b> 1 mark for defining PPF</p> <ul style="list-style-type: none"> <li>• maximum possible production using available resources</li> </ul> <p><b>Application:</b> 1 mark for reference to extract, e.g. 2.2 million Polish emigrants (1)</p> <p><b>Analysis:</b> 1 mark for each of the following:</p> <ul style="list-style-type: none"> <li>• Draw PPF accurately (1)</li> <li>• PPF shifted inward marked on diagram (1)</li> <li>• Explanation of why PPF shifts inwards (1)</li> </ul> |      |



Capital  
goods



e.g. With people leaving Poland the labour force reduces in size meaning with available resources less consumer and capital goods can be produced (1).

(5)

| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Mark |
|-----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
|                 | <p><b>Knowledge 2, Application 2, Analysis 2</b></p> <ul style="list-style-type: none"> <li>Understanding of geographical mobility of labour</li> </ul> <p>Factors that affect mobility of labour:</p> <ul style="list-style-type: none"> <li>Benefit system- e.g. in UK funded by taxation</li> <li>EU rules- Bulgarian/ Romanians allowed to move freely</li> <li>Free access to Spanish doctor</li> <li>Increases the incentive to move to the UK relative to other countries where benefits are contribution based making labour more mobile towards UK</li> <li>Increases the number that are able to move between countries within the EU. Previously people in Bulgaria and Romania had to apply for a visa to move to the UK but now they can freely move to the UK.</li> <li>If citizens move to Spain they have access to Spanish GPs and this will make moving to Spain more attractive and increase the mobility in to Spain.</li> </ul> | (6)  |



| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                                             |
|---------|------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | A completely inaccurate response.                                                                                                                                                                                                                                                                      |
| Level 1 | 1–2  | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no link between causes and consequences.                                                                |
| Level 2 | 3–4  | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response or the answer may lack balance.        |
| Level 3 | 5–6  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are applied appropriately to the broad elements of the question. |

| Question Number  | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Mark |
|------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (b)<br>continued | <b>Evaluation 4</b> <ul style="list-style-type: none"><li>• Benefits are lower than rewards of work then it will have little impact on mobility of labour</li><li>• Have to wait until permanent residents before receiving hospital treatment.</li><li>• People are less likely to move regions for employment or different jobs as the safety net exists reducing the need to move for work and mobility</li><li>• Magnitude- depends on size of benefits</li><li>• Prioritisation- which factor might have the biggest impact on geographical mobility of labour</li></ul> | (4)  |

| Level   | Mark | Descriptor                                                                                                                                                                  |
|---------|------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | No evaluative comments.                                                                                                                                                     |
| Level 1 | 1–2  | Identification of generic evaluative comments without supporting evidence/ reference to context.<br>No evidence of a logical chain of reasoning.                            |
| Level 2 | 3–4  | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and/or is critical of the evidence. |



| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Mark |
|-----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (c)             | <p><b>Knowledge 2, Application 2, Analysis 4</b></p> <p>Candidates may present benefits as Knowledge, Application and Analysis and problems as Evaluation or vice versa.</p> <p><b>Benefits</b></p> <ul style="list-style-type: none"> <li>• Bulgarian/ Romanian etc can provide labour where there are shortages</li> <li>• May attract students to UK who may remain and be productive in UK economy- particularly if skilled occupations</li> <li>• Added 2% to labour force- downward pressure on wages- firms able to employ more at lower costs</li> <li>• Migration, means it is easier to set up or continue here with access to the affordable skills they need.</li> <li>• The downward pressure on wages has helped lower unit labour costs and has made our exports relatively cheaper.</li> <li>• For firms in the UK there is now less regulation in recruiting much needed staff from Eastern Europe where shortages exist in the UK</li> <li>• Some sectors are also benefiting from skilled labour leading to rising productivity.</li> </ul> | (8)  |

| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                                                                                                                                |
|---------|------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                         |
| Level 1 | 1–2  | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                           |
| Level 2 | 3–5  | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response; chains of reasoning are developed but the answer may lack balance.                                                       |
| Level 3 | 6–8  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |



| Question Number          | Indicative content<br>EXAM PAPERS PRACTICE                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Mark       |
|--------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| <b>(c)<br/>continued</b> | <b>Evaluation 4</b> <ul style="list-style-type: none"><li>• Magnitude “unprecedented expansion of labour supply” had contributed to stagnant wages.</li><li>• Make it more difficult for unemployed people legally settled here to find a job</li><li>• Little impact if benefits are more attractive to them</li><li>• Magnitude- 1.1 million remain</li><li>• Other factors may be to blame for stagnant wages- e.g. business confidence, recessions, financial crises, austerity measure.</li></ul> | <b>(4)</b> |

| Level   | Mark | Descriptor                                                                                                                                                                  |
|---------|------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | No evaluative comments.                                                                                                                                                     |
| Level 1 | 1–2  | Identification of generic evaluative comments without supporting evidence/ reference to context.<br>No evidence of a logical chain of reasoning.                            |
| Level 2 | 3–4  | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and/or is critical of the evidence. |



| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Mark       |
|-----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| (d)             | <p><b>Knowledge 2, Application 2, Analysis 2, Evaluation 2</b></p> <p><b>Knowledge/understanding:</b> 2 marks for identification of likely reasons (1+1)</p> <p><b>Application:</b> 2 marks for reference to the data (1+1)</p> <p><b>Analysis:</b> 2 marks for linked explanation of these reasons (1+1)</p> <ul style="list-style-type: none"><li>• To spread risk (1)- so that if one of the markets does less well (1) it will have less effect on the business (1) if profits falling in brickmaking (1), make money in cigarettes (1)</li><li>• Asset stripping (1) the business may have bought one company (1) and kept all profitable aspects (1) and sold off unprofitable parts of business (1). So they may have continued mining minerals that were most profitable (1) and stopped mining others (1)</li><li>• Economies of scale (1) by growing the business to benefit (1) from falling average costs (1) by owning a larger business that includes cigarettes, mining, toys and brickmaking they may be able to benefit from financial economies (1) as banks are willing to lend to the bigger company at lower rates of interest (1)</li></ul> <p>Evaluation: 2 marks for two evaluative comments, e.g.</p> <ul style="list-style-type: none"><li>• Likelihood of economies small as so diverse (1)</li><li>• Only limited connection between businesses (1)</li></ul> <p>OR 2 marks for identification and linked development e.g.</p> <ul style="list-style-type: none"><li>• Asset stripping is likely to be the most likely reasons (1) as they have latterly started demerging and selling off aspects of the business that are less profitable.(1)</li></ul> | <b>(8)</b> |



| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Mark |
|-----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (e)             | <p><b>Knowledge 3, Application 3, Analysis 3,</b></p> <p>Candidates may present positive impacts as Knowledge, Application and Analysis and negative impacts as Evaluation or vice versa.</p> <ul style="list-style-type: none"><li>• Eliminating underperforming/ inefficient divisions making more efficient</li><li>• More allocative efficiency- as less resources wasted on failing parts of the business</li><li>• More productive efficiency- if diseconomies eliminated</li><li>• More focused businesses- so less resources wasted on less profitable aspects</li><li>• More finance available to grow more efficient aspects of business</li><li>• Smaller units easier to control- perform better wasting less time in decision making</li><li>• Workforces are shrinking. Philips employed 117 000 people at the end of 2013, down from more than 121 000 in 2008. Bayer reduced its staffing by 3 000 in 2013, while Siemens has 362,000 workers, a fifth fewer than in 2005- reduces over employment</li><li>• Might lose economies of scale</li><li>• Focusing on more profitable parts of business enables more profits to be made and invested. More innovation should allow for dynamic efficiency</li></ul> | (9)  |

| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                                                                                                                                |
|---------|------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                         |
| Level 1 | 1–3  | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                           |
| Level 2 | 4–6  | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response; chains of reasoning are developed but the answer may lack balance.                                                       |
| Level 3 | 7–9  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |



| Question Number  | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                              | Mark |
|------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (e)<br>continued | <b>Evaluation 6</b> <ul style="list-style-type: none"><li>• Magnitude- the efficiency gains may be significant given the savings following redundancies</li><li>• May only be short term trend more about the state of the economy and less about efficiency gains.</li><li>• Measurement problem- how much efficiency gains will be achieved is difficult to measure</li><li>• May reduce in size too far so that AC starts to rise.</li></ul> | (6)  |

| Level   | Mark | Descriptor                                                                                                                                                                               |
|---------|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | No evaluative comments.                                                                                                                                                                  |
| Level 1 | 1–2  | Identification of generic evaluative comments without supporting evidence/ reference to context.<br>No evidence of a logical chain of reasoning.                                         |
| Level 2 | 3–4  | Evidence of evaluation of alternative approaches which is unbalanced.<br>Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning. |
| Level 3 | 5–6  | Evaluative comments supported by relevant chain of reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and/or is critical of the evidence.     |

Q2.



| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Mark              |               |        |  |  |  |         |  |  |  |            |           |            |  |                   |               |           |  |               |             |  |
|-----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|---------------|--------|--|--|--|---------|--|--|--|------------|-----------|------------|--|-------------------|---------------|-----------|--|---------------|-------------|--|
|                 | <p style="text-align: center;"><b>Knowledge 4, Application 4, Analysis 8, Evaluation 9</b></p> <ul style="list-style-type: none"><li>• Definition of collusion</li><li>• Recognition of the concept of interdependence likely to exist in an oligopolistic market structure</li><li>• Identification of the format in which collusion may take</li></ul> <p>Likely reasons:</p> <ul style="list-style-type: none"><li>• Reduce the level of competition &amp; the cost of direct competition e.g. – marketing or price wars</li><li>• Increase revenue and joint profit maximisation</li><li>• Use of game theory and pay off matrix to show the benefits of collusion v competition, e.g</li></ul> <div><div>Firm A</div><table><tr><td colspan="2"></td><td colspan="2">Firm B</td></tr><tr><td colspan="2"></td><td>Revenue</td><td></td></tr><tr><td colspan="2"></td><td>High Price</td><td>Low Price</td></tr><tr><td>High Price</td><td></td><td>£7.7 bn , £7.7 bn</td><td>£1 bn , £10bn</td></tr><tr><td>Low Price</td><td></td><td>£10bn , £1 bn</td><td>£5bn , £5bn</td></tr></table></div> <ul style="list-style-type: none"><li>• To restrict choice and increase price setting power</li><li>• To enable the cost of regulations &amp; taxation to more easily be passed on to the consumer</li><li>• To protect market share/dominance against new entrants and rivals</li><li>• To reduce uncertainty within the market</li><li>• To control supply</li><li>• Higher producer surplus and shareholder value</li><li>• Market rigging to allocate work between contractors</li><li>• Anti-competitive practices to restrict access to the supply chain</li><li>• Poor regulation/asymmetric information/regulatory capture so lack of detection/difficult to find evidence of tacit collusion.</li></ul> <p><b>NB for a Level 4 response, candidates must refer to a specific INDUSTRY in their answer.</b></p> |                   |               | Firm B |  |  |  | Revenue |  |  |  | High Price | Low Price | High Price |  | £7.7 bn , £7.7 bn | £1 bn , £10bn | Low Price |  | £10bn , £1 bn | £5bn , £5bn |  |
|                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Firm B            |               |        |  |  |  |         |  |  |  |            |           |            |  |                   |               |           |  |               |             |  |
|                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Revenue           |               |        |  |  |  |         |  |  |  |            |           |            |  |                   |               |           |  |               |             |  |
|                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | High Price        | Low Price     |        |  |  |  |         |  |  |  |            |           |            |  |                   |               |           |  |               |             |  |
| High Price      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | £7.7 bn , £7.7 bn | £1 bn , £10bn |        |  |  |  |         |  |  |  |            |           |            |  |                   |               |           |  |               |             |  |
| Low Price       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | £10bn , £1 bn     | £5bn , £5bn   |        |  |  |  |         |  |  |  |            |           |            |  |                   |               |           |  |               |             |  |



## Evaluation

EXAM PAPERS PRACTICE

- Likely problems that may occur:
  - Illegal nature of collusion – risk of fines & criminal prosecution
  - Impact on brand image
  - Risk of cheating/breakdown of the agreement
  - Risk of complacency and a lack of innovation – leading to x inefficiency/lack of competitiveness/threat from new entrant
- Effectiveness of the collusion will depend on:
  - Number of firms involved
  - Relative size of firms
  - Degree of trust
  - Levels of barriers to entry
  - PED of product demand
  - Chances of whistleblower behaviour
- Level and effectiveness of regulation
- Debate over whether it is collusion or simply the nature of oligopoly markets e.g. airline industry share safety features and check-in desks
- Relative significance of arguments made
- Use of contrasting examples to highlight significance
- Collusive behaviour often breaks down, using pay-off matrix.
- Non-collusive reasons for price stability e.g. price leadership
- Arguments that it could bring benefits e.g. – the survival of a declining industry/benefits to consumers and others - This point can count as KAA

(25)



| Knowledge, application and analysis |       |                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|-------------------------------------|-------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Level                               | Mark  | Descriptor                                                                                                                                                                                                                                                                                                                                                                                                                         |
|                                     | 0     | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                                                                  |
| Level 1                             | 1–4   | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                                                                    |
| Level 2                             | 5–8   | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response or superficial, two stage chains of reasoning only.                                                                                                                |
| Level 3                             | 9–12  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer.<br>Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.                                                       |
| Level 4                             | 13–16 | Demonstrates precise knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |

| Evaluation |      |                                                                                                                                                                                                                                                                          |
|------------|------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Level      | Mark | Descriptor                                                                                                                                                                                                                                                               |
|            | 0    | No evaluative comments.                                                                                                                                                                                                                                                  |
| Level 1    | 1–3  | Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.                                                                                                                             |
| Level 2    | 4–6  | Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements.<br>Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.                                           |
| Level 3    | 7–9  | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made. |

Q3.



| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Mark |
|-----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (a)             | <p><b>Knowledge 2, Application 2, Analysis 1</b></p> <p><b>Knowledge and analysis (3 marks): e.g.</b></p> <ul style="list-style-type: none"><li>• Productivity must be GDP / input (or per hour worked) to have sense of output relative to input (1) sense of relative efficiency (1)</li><li>• Nominal values meaning e.g. inflation is included in the figures (1) so useful firms when calculating how much revenue they have earned (1)</li><li>• PPPs means e.g. that the relative cost of living is taken into account, or the figures are adjusted according to the relative purchasing power (1)</li><li>• Makes comparison easier across countries (1) and time (1) and meaningful in the same currency (1)</li></ul> <p><b>Application (2 marks for 1 point, or 1 + 1)</b><br/>Award valid data use only e.g.</p> <ul style="list-style-type: none"><li>• US produces 28% more per hour (1) than the UK (1)</li></ul> | (5)  |

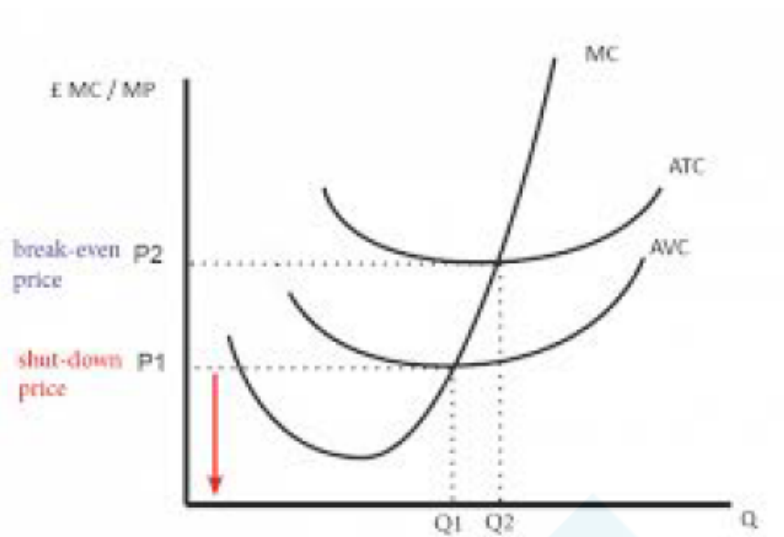
| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Mark |
|-----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (b)             | <p><b>Knowledge 2, Application 2, Analysis 2</b><br/><b>Evaluation 2</b></p> <p><b>Knowledge/implicit understanding of one reason</b></p> <ul style="list-style-type: none"><li>• Higher employment/employment has not fallen in line with falls in GDP (productivity puzzle)</li><li>• Inefficient businesses e.g. zombies</li><li>• Costs of laying off workers is high e.g. labour hoarding – both in terms of severance and loss of human capital</li><li>• Workers do not want to leave, because of pensions/higher living costs/lack of confidence about finding another job after the biggest crash since the 1930s</li><li>• Low interest rates have meant workers can be kept on despite falling sales and output, as profits are kept positive</li><li>• Later retirement age</li><li>• Lack of investment/FDI in UK (1) e.g. in advanced technology (1)</li><li>• Numbers in higher education</li></ul> <p><b>NB do not award longer working hours unless clearly linked to hourly impact (Figure 4 is hourly productivity) e.g. diminishing marginal productivity. Award only the <b>one</b> best reason given.</b></p> |      |



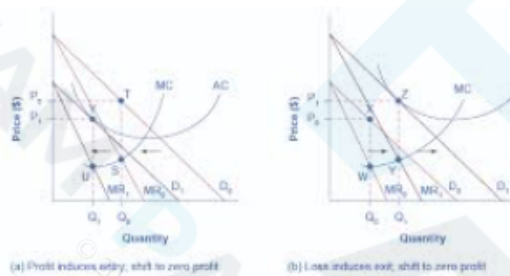
|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |            |
|--|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
|  | <p><b>Application:</b> (2 or 1+1)</p> <ul style="list-style-type: none"><li>• Use of Figure 4 to show difference between actual and potential figures</li><li>• This might be shown using a PPF or AD/AS diagram (1)</li><li>• Use of UK recent events e.g. financial crisis (1)</li><li>•</li></ul> <p><b>NB At least one application mark is reserved for use of Figure 4.</b></p> <p><b>Evaluation</b> (2 marks for any relevant point, or two points 1 +1):</p> <ul style="list-style-type: none"><li>• Problems in data – productivity is being measured the wrong way</li><li>• Trend likely to reverse after recovery from downturn 2020/2021</li><li>• As employment falls from events in 2020 the trend might reverse (output per worker will rise if there are fewer workers)</li><li>• Magnitude of productivity gap is cause for alarm</li><li>• Reasons why productivity is growing in other countries – or other comment e.g. that the relative productivity (Fig 3) is more significant</li></ul> | <b>(8)</b> |
|--|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|

| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Mark |
|-----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (c)             | <p><b>Knowledge 2, Application 2, Analysis 4</b></p> <p><b>Knowledge and analysis</b></p> <ul style="list-style-type: none"><li>• Changing consumer trends</li><li>• Higher business rates and other costs</li><li>• Use of diagram to show shut down point</li><li>• Explanation of diagram to explain why firms leave, e.g. <math>P &lt; AVC</math></li><li>• X-inefficiency in shops</li><li>• Low value added shops have to compete with online</li></ul> <p><b>Application</b></p> <ul style="list-style-type: none"><li>• Competition from online</li><li>• Use of Extract to give examples, e.g. Maplin could not compete with online similar products</li><li>• Inflation has reduced the amount you can buy with £1 – Poundworld was not viable</li><li>• These are saturated market with many new entrants</li><li>• Large rental bills and higher business rates cannot be met and banks are unwilling to lend/ provide extensions to overdrafts</li><li>• Falling consumer confidence</li></ul> |      |

Example of costs diagram (can use AC or ATC)



Example of revenue diagram:



NB for a level 3 response there must be at least one valid diagram. The diagram can show either a fall in AR/MR or a rise in costs, or both. The diagram also earns credit as a static diagram, but explanation of changes is still required.

(8)

**Knowledge, application and analysis**

| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                                                                                                                                |
|---------|------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                         |
| Level 1 | 1–2  | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                           |
| Level 2 | 3–5  | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response; chains of reasoning are developed but the answer may lack balance.                                                       |
| Level 3 | 6–8  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |

| Question Number  | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Mark |
|------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (c)<br>continued | <p style="text-align: center;"><b>Evaluation 4</b></p> <ul style="list-style-type: none"><li>• Some high street stores are doing well, e.g. coffee shops and cafes</li><li>• Other regeneration of the high street is possible</li><li>• Many companies are responding to threats from online by extending their online presence</li><li>• Diagram might be used as part of evaluation, e.g. it depends on whether costs also fall as demand falls. Homebase is seeking lower rents (fixed costs fall).</li><li>• Firms will stay in business in the short run if they are making a contribution towards fixed costs, i.e. <math>P &gt; AVC</math>. This might be illustrated with a diagram e.g.</li></ul> |      |



| Evaluation |      |                                                                                                                                                                             |
|------------|------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Level      | Mark | Descriptor                                                                                                                                                                  |
|            | 0    | No evaluative comments.                                                                                                                                                     |
| Level 1    | 1–2  | Identification of generic evaluative comments without supporting evidence/reference to context.<br>No evidence of a logical chain of reasoning.                             |
| Level 2    | 3–4  | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and/or is critical of the evidence. |

| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Mark |
|-----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (d)             | <p><b>Knowledge 4, Application 4, Analysis 8, Evaluation 9</b></p> <p>Microeconomic policies to improve competitiveness may include:</p> <ul style="list-style-type: none"> <li>• Labour force policies e.g. changing NMW will affect ULCs</li> <li>• Increased level capital by making investment more profitable/subsidy</li> <li>• Infrastructure spending e.g. Crossrail</li> <li>• Investment in education/skills or cutting/capping university fees</li> <li>• Joint ventures with global companies e.g. Dyson</li> </ul> <p>Macroeconomic influences may include:</p> <ul style="list-style-type: none"> <li>• Trade liberalisation – may refer to tariffs or trade agreements to improve price competitiveness. Also award policies that are protectionist.</li> <li>• Tax and benefit changes e.g. corporation tax</li> <li>• Government policy improvements, e.g. weak expansion in fiscal policy, cut interest rates, subsidies, privatisation</li> <li>• Actions of other institutions e.g. banks, schools</li> <li>• Control of price level e.g. stop QE</li> </ul> <p><b>NB for a Level 4 response there must be micro and macro policy (s). Some factors could be seen as micro or macroeconomics, such as labour market changes, supply side policies</b></p> <p>Possible evaluation points include:</p> <ul style="list-style-type: none"> <li>• Degree to which the policies might be a success</li> <li>• Depends on other countries (relative competitiveness issue)</li> <li>• Depends on the value of the currency which cannot be directly controlled in the UK.</li> <li>• Depends on relationship with the EU after Brexit</li> <li>• opportunity costs of funds</li> <li>• government failure- lack of information to know where to focus funds</li> </ul> | (25) |

**Knowledge, application and analysis**

| Level   | Mark    | Descriptor                                                                                                                                                                                                                                                                                                                      |
|---------|---------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0       | A completely inaccurate response.                                                                                                                                                                                                                                                                                               |
| Level 1 | 1 - 4   | Displays ability to apply knowledge in context but will focus on small range of elements.<br>Demonstrates understanding by identifying relevant information.<br>Demonstrates knowledge and understanding of terms, concepts, theories and models.                                                                               |
| Level 2 | 5 - 8   | Shows ability to apply economic ideas and relate them to economic problems in context.<br>Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.                                                                                                       |
| Level 3 | 9 - 12  | Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others.<br>Shows ability to apply economic ideas and relate them directly to the broad elements in the question.                                                                       |
| Level 4 | 13 - 16 | Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects.<br>A clear understanding of economic principles, concepts, theories and arguments. |

**Evaluation**

| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                   |
|---------|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | No evaluative comments.                                                                                                                                                                                                                                                      |
| Level 1 | 1-3  | Identification of evaluative comments without explanation.                                                                                                                                                                                                                   |
| Level 2 | 4-6  | Evaluative comments with limited explanations.<br>Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.                                                                                                             |
|         | 7-9  | Evaluative comments supported by relevant reasoning and appropriate reference to the context.<br>Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made. |



| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Mark |
|-----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (e)             | <p><b>Knowledge 4, Application 4, Analysis 8, Evaluation 9</b></p> <p>Microeconomic effects may include:</p> <ul style="list-style-type: none"><li>• Loss of human capital and therefore lost incomes, consumer welfare</li><li>• Firms may have unfilled vacancies. Effects on costs</li><li>• Falling incomes in the UK mean reduced sales</li><li>• Skills shortages may create a need for employment of migrant workers</li><li>• Extra costs associated with training staff to up skill them</li></ul> <p>Macroeconomic effects may include:</p> <ul style="list-style-type: none"><li>• Shift in SRAS or LRAS might be drawn as costs of production rise, productivity worsens, capacity reduces</li><li>• Effects of immigration to fill gaps in labour market</li><li>• Effect on current account as UK economy becomes uncompetitive</li><li>• Falling tax revenues and increased G – fiscal implications</li></ul> <p><b>NB for a Level 4 answer there must be reference to the context of young workers in the specific country's context (UK or any other)</b></p> <p><b>NB for a Level 4 response there must be micro and macro effects.</b></p> |      |

|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |      |
|--|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
|  | <p>Possible evaluation points include that the effect depends on:</p> <ul style="list-style-type: none"><li>• Effects of Brexit may mean it is harder to fill vacancies for firms using skilled EU labour</li><li>• Data may be misleading – difficult to measure human capital</li><li>• Comment on the priority literacy/numeracy is vital to long term viability of workforce. Should funding increase for education?</li><li>• There will always be a demand for low skilled workers</li><li>• Some evidence that most UK young people are better educated 2016 data- improvements likely with reforms to KS2, GCSE and A Levels focusing more on literacy and numeracy/quantitative skills.</li><li>• Some with poor literacy and numeracy have been highly successful entrepreneurs - there are famous (but statistically rare) examples!</li></ul> | (25) |
|--|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|

**Knowledge, application and analysis**

| Level   | Mark    | Descriptor                                                                                                                                                                                                                                                                                                                      |
|---------|---------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0       | A completely inaccurate response.                                                                                                                                                                                                                                                                                               |
| Level 1 | 1-4     | Displays ability to apply knowledge in context but will focus on small range of elements.<br>Demonstrates understanding by identifying relevant information.<br>Demonstrates knowledge and understanding of terms, concepts, theories and models.                                                                               |
| Level 2 | 5-8     | Shows ability to apply economic ideas and relate them to economic problems in context.<br>Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.                                                                                                       |
| Level 3 | 9-12    | Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others.<br>Shows ability to apply economic ideas and relate them directly to the broad elements in the question.                                                                       |
| Level 4 | 13 - 16 | Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects.<br>A clear understanding of economic principles, concepts, theories and arguments. |

**Evaluation**

| Level   | Mark  | Descriptor                                                                                                                                                                                                                                                                   |
|---------|-------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0     | No evaluative comments.                                                                                                                                                                                                                                                      |
| Level 1 | 1-3   | Identification of evaluative comments without explanation.                                                                                                                                                                                                                   |
| Level 2 | 4 - 6 | Evaluative comments with limited explanations.<br>Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.                                                                                                             |
| Level 3 | 7 - 9 | Evaluative comments supported by relevant reasoning and appropriate reference to the context.<br>Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made. |



| Question Number |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Mark |
|-----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (a)             | <p style="text-align: center;"><b>Knowledge 2, Application 2, Analysis 1</b></p> <p><b>Knowledge:</b></p> <ul style="list-style-type: none"><li>• 'Good' deflation - Caused by an increase in aggregate supply (1)</li><li>• 'Bad' deflation - caused by falling aggregate demand (1)</li></ul> <p><b>Application:</b></p> <p>2 data references from Extract 1: (2 marks)</p> <ul style="list-style-type: none"><li>• For 'good' deflation - falling price of unit of computing power (1)</li><li>• For 'bad' deflation - recession in eurozone (1)</li></ul> <p><b>Analysis:</b></p> <p>1 mark for explanation of the link between:</p> <p>Either</p> <ul style="list-style-type: none"><li>• AS and 'good' deflation: because it is caused by new technology; falling raw material prices which result in higher real output (1)</li></ul> <p>OR</p> <ul style="list-style-type: none"><li>• AD and 'bad' deflation: because it is caused by falling real wages which result in lower real output. (1)</li></ul> | (5)  |



| Question Number |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Mark |
|-----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (b)             | <p><b>Knowledge 2, Application 2, Analysis 2, Evaluation 2</b></p> <p><b>Knowledge and analysis:</b> 1 mark for each reason, up to 2 marks <b>(K)</b>. A further 2 marks for supply and demand diagram(s) or further development or explanation <b>(A)</b></p> <ul style="list-style-type: none"><li>• Fall in demand - recession in eurozone; slowdown in China and Asia</li><li>• Increase in supply - shale oil</li></ul> <p><b>Application (1+1 marks):</b></p> <p>Specific data reference from Figure 1, e.g. fall in oil price from around \$115 a barrel in mid 2014 (1) to just over \$60 a barrel by the end of 2014 (1)</p> <p>Specific data references from Extract A: e.g. 50% increase in oil supply in USA (1)</p> <p><b>Evaluation:</b> (2 marks for any relevant point):</p> <ul style="list-style-type: none"><li>• Prioritisation - discussion of which factor has had the greatest impact</li><li>• Fall in demand might be more temporary than increase in supply.</li></ul> | (8)  |

| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Mark |
|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (c)             | <p><b>Knowledge 2, Application 2, Analysis 4</b></p> <ul style="list-style-type: none"><li>• Meaning of a cartel: group producers acting together; restricting supply to force up price</li><li>• The producers act as a monopolist when a cartel is formed</li><li>• All major producers must be members of the cartel for it to be able to succeed</li><li>• No new substitutes for the product must be available (in this case shale oil is an effective substitute for oil)</li><li>• Supply must be controlled – without ‘cheating’ by individual producers.</li></ul> | (8)  |



| Level   | Mark  | Descriptor                                                                                                                                                                                                                                                                                                                                                                                |
|---------|-------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0     | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                         |
| Level 1 | 1 - 2 | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                           |
| Level 2 | 3 - 5 | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response; chains of reasoning are developed but the answer may lack balance.                                                       |
| Level 3 | 6 - 8 | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |

| Question Number  | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Mark       |
|------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| (c)<br>continued | <p style="text-align: center;"><b>Evaluation 4</b></p> <ul style="list-style-type: none"> <li>• Much will depend on relative price of oil in relation to sources of renewable energy</li> <li>• A cartel might be more successful in the short run than in the long run when alternatives may be developed and become more available</li> <li>• Less powerful members of the cartel are likely to cheat</li> <li>• Difficulty of controlling activities of major producers</li> <li>• Impact of increase in shale oil/gas production</li> <li>• Inability to prevent entry of new producers (discussion of the degree of contestability in the market.</li> </ul> | <b>(4)</b> |

| Level | Marks | Descriptor                                                                                                                                                                  |
|-------|-------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 0     | 0     | No evaluative comments.                                                                                                                                                     |
| 1     | 1-2   | Identification of generic evaluative comments without supporting evidence/reference to context.<br>No evidence of a logical chain of reasoning.                             |
| 2     | 3-4   | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and/or is critical of the evidence. |



| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Mark        |
|-----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|
| (d)             | <p style="text-align: center;"><b>Knowledge 4, Application 4, Analysis 8,<br/>Evaluation 9</b></p> <p>Microeconomic effects:</p> <ul style="list-style-type: none"><li>• on consumers - increase in real value of savings; falling prices so increase in consumers' surplus</li><li>• on producers - lower input prices leading to falling costs of production and possibly higher profits</li><li>• on workers - could result in nominal wage cuts</li><li>• on shareholders - falling profits might result in falling dividends.</li></ul> <p>Macroeconomic effects:</p> <ul style="list-style-type: none"><li>• impact on Investment - less incentive for firms to buy capital equipment</li><li>• impact on Employment - could lead to a 1930s type depression with massive unemployment</li><li>• impact on Economic growth - could result in prolonged depression</li><li>• impact on Real value of a country's national debt increases.</li></ul> <p>Possible evaluation points include:</p> <ul style="list-style-type: none"><li>• impact depends on the causes of deflation – whether it is 'good' or 'bad'</li><li>• consumers face increase in real value of mortgages and debts</li><li>• producers face falling revenues and profits</li><li>• impact on macroeconomic variables (growth, employment, balance of payments) dependent on type of deflation.</li></ul> | <b>(25)</b> |

**Knowledge, application and analysis**

| Level   | Marks   | Descriptor                                                                                                                                                                                                                                                                                                                                                                                                                            |
|---------|---------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0       | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                                                                     |
| Level 1 | 1 - 4   | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                                                                       |
| Level 2 | 5 - 8   | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response or superficial, two stage chains of reasoning only.                                                                                                                   |
| Level 3 | 9 - 12  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer.<br>Analysis is clear and coherent, although it may lack balance.<br>Chains of reasoning are developed but the answer may lack balance.                                                       |
| Level 4 | 13 - 16 | Demonstrates precise knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using appropriate examples.<br>Analysis is relevant and focused with evidence fully and reliably integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |

**Evaluation**

| Level   | Marks | Descriptor                                                                                                                                                                                                                                                               |
|---------|-------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0     | No evaluative comments.                                                                                                                                                                                                                                                  |
| Level 1 | 1 - 3 | Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.                                                                                                                             |
| Level 2 | 4 - 6 | Evidence of evaluation of alternative approaches which is unbalanced, leading to unsubstantiated judgements.<br>Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.                                          |
| Level 3 | 7 - 9 | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made. |



| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Mark |
|-----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (e)             | <p><b>Knowledge 4, Application 4, Analysis 8, Evaluation 9</b></p> <p>Microeconomic effects:</p> <ul style="list-style-type: none"><li>• impact on costs of production resulting in higher profits for businesses</li><li>• impact on revenues and profits of oil companies (reference to price inelasticity of demand)</li><li>• impact on investment decisions by firms in the oil market, especially with reference to shale oil</li><li>• impact on wages of workers in oil industry</li><li>• impact on consumer real incomes and on demand for other goods and services</li><li>• impact on green energy industries (reference to cross elasticity of demand).</li></ul> <p>Macroeconomic effects:</p> <ul style="list-style-type: none"><li>• lower global rates of inflation (AD/AS analysis)</li><li>• impact on global growth rates</li><li>• impact on balance of payments on current accounts of oil importing countries and oil exporting countries</li><li>• impact on CO<sub>2</sub> emissions: consideration of impact on climate change on different countries - reference to external costs.</li></ul> |      |
|                 | <p>Possible evaluation points include:</p> <ul style="list-style-type: none"><li>• impact on different industries will depend on their oil costs as a proportion of total costs</li><li>• impact on households will depend on cost of oil in household budgets</li><li>• impact on demand for other goods and services will depend on other factors e.g. state of world economy, consumer confidence, household debt</li><li>• impact on inflation rates and growth rates depends on elasticities of AD and AS curves</li><li>• impact on balance of payments on current account of different countries depending on whether they are net importers or net exporters of oil</li><li>• impact on external costs depends on how different price elasticity of demand for oil.</li></ul>                                                                                                                                                                                                                                                                                                                                    | (25) |

**Knowledge, application and analysis** EXAM PAPERS PRACTICE

| Level   | Marks   | Descriptor                                                                                                                                                                                                                                                                                                                                                                                                                            |
|---------|---------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0       | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                                                                     |
| Level 1 | 1 - 4   | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                                                                       |
| Level 2 | 5 - 8   | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response or superficial, two stage chains of reasoning only.                                                                                                                   |
| Level 3 | 9 - 12  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer.<br>Analysis is clear and coherent, although it may lack balance.<br>Chains of reasoning are developed but the answer may lack balance.                                                       |
| Level 4 | 13 - 16 | Demonstrates precise knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using appropriate examples.<br>Analysis is relevant and focused with evidence fully and reliably integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |

| Evaluation |       |                                                                                                                                                                                                                                                                          |
|------------|-------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Level      | Marks | Descriptor                                                                                                                                                                                                                                                               |
|            | 0     | No evaluative comments.                                                                                                                                                                                                                                                  |
| Level 1    | 1 - 3 | Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.                                                                                                                             |
| Level 2    | 4 - 6 | Evidence of evaluation of alternative approaches which is unbalanced, leading to unsubstantiated judgements.<br>Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.                                          |
| Level 3    | 7 - 9 | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made. |

Q5.

| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Mark        |
|-----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|
|                 | <p style="text-align: center;"><b>Knowledge 4, Application 4, Analysis 8, Evaluation 9</b></p> <p>Define minimum wage.</p> <p>Positive impacts:</p> <ul style="list-style-type: none"> <li>• above-inflation increase to the rate of £6.31 per hour/ real term rises – could help people cover the rising cost of living</li> <li>• a rise of more than 50p an hour – helps reduce poverty</li> <li>• lowers inequality</li> <li>• higher rewards may improve productivity.</li> </ul> <p>Negative impacts:</p> <ul style="list-style-type: none"> <li>• big rise could cost people their jobs</li> <li>• diagram- showing minimum wage above equilibrium – labelling unemployment</li> <li>• above-inflation increase to the rate of £6.31 per hour – could be inflationary</li> <li>• not supporting business – adds to costs/growth</li> <li>• may make informal/ grey economy more attractive for employers to pursue – less protection/less tax revenue</li> </ul> <p><b>Evaluation</b></p> <ul style="list-style-type: none"> <li>• May not be a problem in many markets where wages are well above minimum wage.</li> <li>• Depends on the proportion of costs that are allocated to wages.</li> <li>• Depends on how labour intensive production is – big impact if labour intensive.</li> <li>• Short term – firms may be slow to adjust to new cost conditions.</li> </ul> | <b>(25)</b> |



| Knowledge, application and analysis |       |                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|-------------------------------------|-------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Level                               | Mark  | Descriptor                                                                                                                                                                                                                                                                                                                                                                                                                         |
|                                     | 0     | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                                                                  |
| Level 1                             | 1–4   | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                                                                    |
| Level 2                             | 5–8   | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response or superficial, two stage chains of reasoning only.                                                                                                                |
| Level 3                             | 9–12  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer.<br>Analysis is clear and coherent, although it may lack balance.<br>Chains of reasoning are developed but the answer may lack balance.                                                    |
| Level 4                             | 13–16 | Demonstrates precise knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |

| Evaluation |      |                                                                                                                                                                                                                                                                          |
|------------|------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Level      | Mark | Descriptor                                                                                                                                                                                                                                                               |
|            | 0    | No evaluative comments.                                                                                                                                                                                                                                                  |
| Level 1    | 1–3  | Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.                                                                                                                             |
| Level 2    | 4–6  | Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements.<br>Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.                                           |
| Level 3    | 7–9  | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made. |



| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Mark |
|-----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (a)             | <p><b>Knowledge 2, Application 2, Analysis 1</b></p> <p><b>Knowledge and analysis</b><br/>Up to 3 marks for:</p> <ul style="list-style-type: none"><li>the meaning of externalities, e.g. effect on third party, outside the transaction, difference between social cost and private cost (1).</li></ul> <p>Points might include:</p> <ul style="list-style-type: none"><li>use of plastic which is hard to recycle/other single use plastic arguments (1)</li><li>HFSS food can cause obesity and have third party effects (1)</li><li>more congestion/air pollution from food deliveries (1)</li><li>(positive) externality due to rise in productivity generated by cash rich, time poor professionals might allow people to impact third parties positively (1)</li></ul> <p><b>Application:</b><br/>2 marks for data (1+1 or 2):</p> <ul style="list-style-type: none"><li>1.4 billion containers (1) or other plastic items to allow food to travel safely e.g. heat retention (1)</li><li>over-consumption / order more food (1) e.g. impact on other NHS users (1)</li><li>HFSS food (1)</li><li>falling profit margins (1) or increased competition in food delivery might mean wages fall so fewer wider macro benefits (1)</li><li>don't even have to get up/lack of exercise of consumers ordering from their sofa (1)</li></ul> <p><b>NB 2 marks may be awarded for a diagram</b><br/>e.g. a negative externalities in production of food that has to be delivered</p> | (5)  |



| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Mark |
|-----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (b)             | <p><b>Knowledge 2, Application 2, Analysis 2, Evaluation 2</b></p> <p><b>Knowledge/implicit understanding:</b> (1+1) marks e.g.</p> <ul style="list-style-type: none"><li>• demand is price inelastic means that the percentage change in price causes a smaller percentage change in quantity demanded</li><li>• demand is income elastic means that percentage change in income causes a greater percentage change in demand</li></ul> <p><b>Application:</b> (1+1 or 2) e.g.</p> <ul style="list-style-type: none"><li>• food delivery firms' charge of £5 is a very small percentage of consumer income so they might be seen as essential or basic goods (Ext B line 5)</li><li>• three dominant firms Just Eat, Uber Eats and Deliveroo (Ext B line 2)</li><li>• The food delivery industry has boomed in recent years (Ext B line 2)</li><li>• cash rich, time poor (Ext B line 7)</li><li>• income growth prior to 2020 meant delivery has boomed</li><li>• HFSS addiction/habit forming</li><li>• Convenient mobile app, so PED inelastic</li><li>• 5 times more expensive than cooking at home</li></ul> <p><b>Analysis:</b> (1+1) development of each type of elasticity, e.g.</p> <ul style="list-style-type: none"><li>• if demand is price inelastic then <b>revenue</b> will rise for the firm when it raises price</li><li>• habit forming behaviour so PED inelastic</li><li>• few close substitutes so PED inelastic</li><li>• small part of overall consumer spending so PED inelastic</li><li>• food delivery services are a very small percentage of consumer income so they might be seen as essential or basic goods</li><li>• if food delivery is a luxury the demand likely to be income elastic, e.g. then the firms will benefit in times of economic growth, but lose demand in a recession</li><li>• if food delivery is a treat in an economic downturn then it is an inferior good</li></ul> <p><b>NB up to 2 marks may be awarded for diagram(s) (1+1)</b></p> |      |

|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |     |
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|  | <p><b>Evaluation:</b> (2 marks for any relevant point, or two points 1 +1)</p> <ul style="list-style-type: none"><li>• the 30% of prices paid by restaurants is not seen by the consumer</li><li>• depends on geographical areas e.g. rural vs urban areas.</li><li>• the worldwide health crisis might have caused distortions in the data</li><li>• third-party food delivery firms are inferior goods if demand rises when incomes fall</li><li>• other factors affect demand apart from income, e.g., availability of substitutes (eating in restaurants is impossible in global health crisis)</li><li>• discussion of normal vs inferior question e.g. compared to eating in a restaurant or cooking at home</li><li>• income elastic vs. inelastic e.g. demand for third-party food delivery is price elastic for some income groups when incomes fall as it takes up a larger percentage of income</li></ul> | (8) |
|--|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|



| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Mark |
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| (c)             | <p><b>Knowledge 2, Application 2, Analysis 4</b></p> <p>Points might include:</p> <ul style="list-style-type: none"><li>• integration includes horizontal/vertical/conglomerate joining of firms</li><li>• leads to economies of scale</li><li>• increased market share</li><li>• removal of competition</li><li>• increased monopoly power</li><li>• international rivals can avoid taxes</li><li>• prices higher for consumers</li><li>• reduced choice for restaurants and consumers</li><li>• monopsony power over restaurants</li><li>• technical advantages of vertical integration</li><li>• vertical power over firms can leave other firms with high barriers to entry</li><li>• Just Eat has bought out rivals e.g. merger between Just Eat and Takeaway.com</li><li>• Amazon has partially bought Deliveroo (16% so far) which may have saved it, and/or improved it on the tech side</li></ul> <p><b>NB effects might include more than one types of economies of scale, or other combined analysis. Award diagrammatic analysis e.g. economies of scale LRAC</b></p> | (8)  |

| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                                                                                                                                |
|---------|------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                         |
| Level 1 | 1–2  | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                           |
| Level 2 | 3–5  | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response; chains of reasoning are developed but the answer may lack balance.                                                       |
| Level 3 | 6–8  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |



| Question Number  | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Mark |
|------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (c)<br>continued | <p style="text-align: center;"><b>Evaluation 4</b></p> <ul style="list-style-type: none"><li>• mergers might be necessary to ensure the survival of firms (e.g. Deliveroo case)</li><li>• further mergers might be limited by the CMA</li><li>• supernormal profits might lead to lower prices, better technology and/or a more consumer-led market</li><li>• prices may fall due to fall in average costs due to e.g. economies of scale</li><li>• diseconomies of scale</li></ul> | (4)  |

| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                   |
|---------|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | No evaluative comments.                                                                                                                                                                                                                                                      |
| Level 1 | 1–2  | Identification of generic evaluative comments without supporting evidence/reference to context.<br>No evidence of a logical chain of reasoning.                                                                                                                              |
| Level 2 | 3–4  | Evaluative comments supported by relevant reasoning and appropriate reference to the context.<br>Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made. |



| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Mark |
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| (d)             | <p><b>Knowledge 4, Application 4, Analysis 8, Evaluation 9</b></p> <p>Microeconomic effects of depreciation may include:</p> <ul style="list-style-type: none"><li>• higher cost of imports of food and therefore higher cost of production for hospitality sector</li><li>• lower profits for firms in hospitality</li><li>• higher prices of food for consumers</li><li>• consumers have lower standards of living if they are on fixed incomes/</li><li>• falling real incomes so demand for restaurant meals and food delivery services might shift left</li><li>• workers have higher incomes if working in exporting firms in other industries, so might use more delivery services</li><li>• restaurants might begin to use more locally produced food</li></ul> <p>Macroeconomic effects of depreciation may include:</p> <ul style="list-style-type: none"><li>• capital in-flows, e.g. benefits to multinational firms such as Just Eat for investment in the US using other currencies/ AD and/or LRAS shift out</li><li>• cost push inflation/SRAS shifts in</li><li>• more injections and fewer withdrawals leading to rise in AD and multiplier effect</li><li>• increased employment</li><li>• incentive to use transfer pricing</li><li>• UK tourism might be boosted by depreciation which would improve local restaurants</li></ul> <p><b>NB for a Level 4 response there must be micro and macro effects and use of data with reference to restaurants or other food delivery services. Higher costs, changes in competitiveness, environmental changes could be seen as micro or macro, for example, can be used as either micro or macroeconomics.</b></p> <p><b>NB Effects in KAA could be used as evaluation and vice-versa.</b></p> | (25) |



9 marks for evaluation – points might include:

- depends on the nature of the restaurant. Some try to use locally sourced ingredients
- the pound has recovered significantly since 2016
- food costs are a small cost relative to other costs, e.g. rent and delivery
- some restaurants are specialised in UK food so cost effect very low
- other factors are more important, e.g. the heavy fiscal spending in response to the global health crisis
- other factors determining capital inflows
- relative depreciation or trade weighting of other currencies
- offsetting costs with altering portion sizes or changing menu options
- impact on tourism small relative to the increase in the production of food
- regional differences with the UK e.g. whether there is a local food supply option
- Marshall Lerner
- J-curve

| Knowledge, application and analysis |       |                                                                                                                                                                                                                                                                                                                                 |
|-------------------------------------|-------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Level                               | Mark  | Descriptor                                                                                                                                                                                                                                                                                                                      |
|                                     | 0     | A completely inaccurate response.                                                                                                                                                                                                                                                                                               |
| Level 1                             | 1–4   | Displays ability to apply knowledge in context but will focus on small range of elements.<br>Demonstrates understanding by identifying relevant information.<br>Demonstrates knowledge and understanding of terms, concepts, theories and models.                                                                               |
| Level 2                             | 5–8   | Shows ability to apply economic ideas and relate them to economic problems in context.<br>Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.                                                                                                       |
| Level 3                             | 9–12  | Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others.<br>Shows ability to apply economic ideas and relate them directly to the broad elements in the question.                                                                       |
| Level 4                             | 13–16 | Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects.<br>A clear understanding of economic principles, concepts, theories and arguments. |



| Evaluation |      |                                                                                                                                                                                                                                                                              |
|------------|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Level      | Mark | Descriptor                                                                                                                                                                                                                                                                   |
|            | 0    | No evaluative comments.                                                                                                                                                                                                                                                      |
| Level 1    | 1–3  | Identification of evaluative comments without explanation.                                                                                                                                                                                                                   |
| Level 2    | 4–6  | Evaluative comments with limited explanations.<br>Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.                                                                                                             |
| Level 3    | 7–9  | Evaluative comments supported by relevant reasoning and appropriate reference to the context.<br>Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made. |

| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Mark |
|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (e)             | <p><b>Knowledge 4, Application 4, Analysis 8, Evaluation 9</b></p> <p>16 marks for KAA, for effects of increased minimum wage</p> <p>Microeconomic effects may include:</p> <ul style="list-style-type: none"> <li>• rise in wages will benefit very low paid workers. Might be shown on increasing NMW diagram</li> <li>• effect on cost to firms e.g. reduced profit margins. Might be shown on a cost and revenue diagram.</li> <li>• excess supply of hospitality workers</li> <li>• effect on prices consumer surplus falls, output falls, price increases</li> <li>• impact on quantity of labour demanded/contraction of labour demand</li> <li>• impact on productivity</li> <li>• inefficient resource allocation due to distortion of price mechanism</li> </ul> <p>Macroeconomic effects may include:</p> <ul style="list-style-type: none"> <li>• income equality improvements – may use Gini/Lorenz</li> <li>• prices rise – inflationary effects</li> <li>• reduction in relative poverty</li> <li>• AD: increase in consumption as incomes increase/fall in investment as profits fall</li> <li>• SRAS: cost-push</li> <li>• LRAS: if investment falls, then LRAS shifts in</li> <li>• reduced employment</li> <li>• higher income tax revenue</li> <li>• lower unemployment related benefits</li> </ul> <p><b>NB for a Level 4 response there must be micro and macro effect (s) and use of data with reference to restaurants or other food delivery services. Employment or welfare issues could be seen as micro or macro, for example, can be used as either micro or macroeconomics.</b></p> <p><b>NB Effects in KAA could be used as evaluation and vice-versa.</b></p> | (25) |



9 marks for evaluation – points might include:

- effect on firms depends on how much wage costs are as a proportion of overall costs
- impact on real output depends on level of spare capacity/elasticity of LRAS/magnitude of multiplier
- effect on workforce of employment regulation depends on elasticity for demand for labour, and degree with which it can be replaced with capital
- depends on PED of food delivery firm market as a whole
- consumers might also have increases in wages so profits might not fall
- some firms will face decreased demand and go out of business. Loss of jobs and other economic activity
- depends on the PED and PES in factor market and product market as a whole
- LRAS might rise as economically inactive workers enter labour force to look for jobs
- higher tax revenue may not occur if unemployment increases or investment decreases
- higher unemployment related benefits if unemployment increase
- productivity/motivation arguments

**Knowledge, application and analysis**

| Level   | Mark  | Descriptor                                                                                                                                                                                                                                                                                                                      |
|---------|-------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0     | A completely inaccurate response.                                                                                                                                                                                                                                                                                               |
| Level 1 | 1–4   | Displays ability to apply knowledge in context but will focus on small range of elements.<br>Demonstrates understanding by identifying relevant information.<br>Demonstrates knowledge and understanding of terms, concepts, theories and models.                                                                               |
| Level 2 | 5–8   | Shows ability to apply economic ideas and relate them to economic problems in context.<br>Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.                                                                                                       |
| Level 3 | 9–12  | Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others.<br>Shows ability to apply economic ideas and relate them directly to the broad elements in the question.                                                                       |
| Level 4 | 13–16 | Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects.<br>A clear understanding of economic principles, concepts, theories and arguments. |



| Evaluation           |      |                                                                                                                                                                                                                                                                              |
|----------------------|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| EXAM PAPERS PRACTICE |      |                                                                                                                                                                                                                                                                              |
| Level                | Mark | Descriptor                                                                                                                                                                                                                                                                   |
|                      | 0    | No evaluative comments.                                                                                                                                                                                                                                                      |
| Level 1              | 1–3  | Identification of evaluative comments without explanation.                                                                                                                                                                                                                   |
| Level 2              | 4–6  | Evaluative comments with limited explanations.<br>Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.                                                                                                             |
| Level 3              | 7–9  | Evaluative comments supported by relevant reasoning and appropriate reference to the context.<br>Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made. |

Q7.



| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Mark |
|-----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (a)             | <p><b>Knowledge 2, Application 2, Analysis 1</b></p> <p><b>NB an answer which sees highly concentrated as having a large number of firms will not earn knowledge or analysis marks</b></p> <p><b>Knowledge and analysis:</b> 3 marks for e.g.</p> <ul style="list-style-type: none"><li>• Identification of <b>high</b> concentration - high market share of some firms (1) few large firms dominate (1) uncompetitive (1)</li><li>• Identification of market structure - there is a <i>legal</i> monopoly (Walkers) <b>OR</b> oligopoly <b>OR</b> duopoly (1)</li><li>• Firms can set prices (1) control output (1) / monopoly power (1)</li><li>• Interdependent (1)</li><li>• High barriers to entry/exit (1) low contestability (1)</li></ul> <p><b>Application:</b><br/>2 marks for data references e.g.</p> <ul style="list-style-type: none"><li>• Walkers have over 50% of market share (1)</li><li>• Use of concentration ratio e.g. 2 firm CR 78.0% (2), 3 firm CR 82.2% (2)</li><li>• Extract A refers to ban making market more competitive (1) implying prices are currently uncompetitive/high (1)</li><li>• Extract A – high levels of advertising (1)</li><li>• common features: they tend to be dominated by a small number of firms that sell multiple brands and that heavily advertise their products (1)</li></ul> <p><b>NB Concentration ratio calculation can be awarded as analysis or application</b></p> <p><b>Award a maximum of 1 application mark if there is no reference to Figure 1 or Extract A</b></p> | (5)  |



| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Mark |
|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (b)             | <p><b>Knowledge 2, Application 2, Analysis 2, Evaluation 2</b></p> <p><b>Knowledge/ implicit understanding: (1+1) marks</b><br/>for reason e.g.</p> <ul style="list-style-type: none"><li>• Educational/skills/wage differences</li><li>• Changing patterns of trade/globalisation</li><li>• Government policy/austerity/universal credit</li><li>• Income generated from inheritance</li><li>• Payments generated from debt</li><li>• Race, gender, age, geographical issues</li><li>• Changes in direct tax</li><li>• Stage of the economic cycle/Financial Crisis 2008</li><li>• House prices (must relate to income not wealth)</li><li>• Weakened power of trade unions</li><li>• Level of unemployment/underemployment</li><li>• Irrational behaviour/information gaps/myopia</li></ul> <p><b>Application (1+1 or 2):</b></p> <ul style="list-style-type: none"><li>• Any valid application to <b>causing inequality</b> in the UK or other developed country, e.g. unaffordable house prices in the UK mean the younger generation has little income after rent (1); cut in the top rate of income tax, rise in NICs, change in tax thresholds; university fees at £9250 a year is widening the income gap if fewer low income households go to university (1); pensions rising below average incomes (1); educational differences such as an economics degree has a higher impact on future earnings than other degrees (1)</li></ul> |      |

|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |     |
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|  | <p><b>Analysis (1+1):</b></p> <ul style="list-style-type: none"><li>• Linked development of the <b>two</b> points made</li></ul> <p><b>Evaluation (1+1 or 2).</b> Points might include discussion of:</p> <ul style="list-style-type: none"><li>• The role of transfer payments/minimum wages in narrowing/failing to narrow inequality</li><li>• Changes rather than levels of income inequality, absolute vs relative issues</li><li>• Relationship with wealth e.g. as a more significant inequality issue</li><li>• Relative significance of different factors e.g. direct taxes more proportional than indirect taxes (regressive)</li><li>• Time lags e.g. education has effects as yet unfolded, government policy might change, Brexit has not yet happened.</li></ul> <p><b>NB Do not allow indirect taxes or subsidies as KAA</b><br/><b>NB Use of Gini coefficient or Lorenz curves could be used as application or analysis</b></p> | (8) |
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| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Mark |
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| (c)             | <p><b>Knowledge 2, Application 2, Analysis 4</b></p> <ul style="list-style-type: none"><li>Firms are interdependent so they will respond in the face of what other firms might do</li><li>Firms may not reach the same outcome as if they operated alone</li><li>Firms are cutting prices because they want to expand market share/steal other firms' markets</li><li>All firms responding in this way means that firms make less profit overall</li><li>Effects of advertising ban may make market more contestable, with possible effects on entrant</li><li>Price cuts could be a form of limit pricing, i.e. reducing contestability (effects on possible entrants may be shown)</li><li><b>Game theory</b> e.g. a payoff matrix or kinked demand curve to illustrate behaviour, for example cartel-like or collusive behaviour, price leadership</li></ul> <p><b>NB to access Level 3 there must be correct use of game theory and application to the data.</b></p> | (8)  |

| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                                                                                                                                |
|---------|------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                         |
| Level 1 | 1-2  | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                           |
| Level 2 | 3-5  | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response; chains of reasoning are developed but the answer may lack balance.                                                       |
| Level 3 | 6-8  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |



| Question Number  | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Mark                                                                                                                                                                        |
|------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| (c)<br>continued | <p><b>Evaluation 4</b></p> <ul style="list-style-type: none"><li>• Firms such as Walkers have significant market share and brand loyalty, even if competition lower price they may not switch</li><li>• Use of context to show that firms are cutting prices because of a regulation and not because of the actions of other firms. No sign of interdependence.</li><li>• Size of market shrinking overall so behaviour more aggressive</li><li>• Firms setting low prices in a long run equilibrium might not be the best option for the firms or other stakeholders.</li><li>• Advertising ban affects children mainly - so price competition less needed for older target audiences that can still be targeted.</li><li>• Reference to only 10% loss in sales compared to 15% - still a large impact on firms (Extract A).</li></ul> | (4)                                                                                                                                                                         |
| Level            | Mark                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Descriptor                                                                                                                                                                  |
|                  | 0                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | No evaluative comments.                                                                                                                                                     |
| Level 1          | 1–2                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Identification of generic evaluative comments without supporting evidence/reference to context.<br>No evidence of a logical chain of reasoning.                             |
| Level 2          | 3–4                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and/or is critical of the evidence. |



| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Mark |
|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (d)             | <p><b>Knowledge 4, Application 4, Analysis 8, Evaluation 9</b></p> <p>16 marks for KAA, for effects of increased spending on education to promote healthy eating in the UK.</p> <p>Microeconomic effects may include:</p> <ul style="list-style-type: none"><li>• Effects of increased demand for healthy foods/consumer surplus/increased prices (may include supply and demand diagram) or fall in price of HFSS foods</li><li>• Positive externalities in consumption are internalised (may include divergent MSB and MPB diagram and corresponding movement toward social optimum at <math>MSB=MSC</math>)</li><li>• Impact on firms which make unhealthy products – increased costs if they diversify/reduced demand e.g. use of healthier ingredients with higher costs. This might be shown on a cost/revenue diagram.</li><li>• Increased profits for healthy food producers e.g. shown on a costs/revenue diagram</li><li>• labour market issues, e.g. workforce becomes healthier, and reduced obesity might make workers more productive (increase marginal product)</li><li>• Opportunity cost of spending on education</li></ul> <p>Macroeconomic effects may include:</p> <ul style="list-style-type: none"><li>• Effects on price level and output as G increases, with multiplier effects. May be shown by shift out in AD with effects on price level and real output.</li><li>• Healthier workforce shifts out the LRAS, with impact of lower prices and higher output</li><li>• Fiscal implications – crowding out, effect on balancing budget</li></ul> |      |

|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |             |
|--|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|
|  | <p><b>NB for a Level 4 response there must be micro and macro effect (s). Opportunity cost/shift in PPF/labour markets/competitiveness etc. can be used as micro or macro.</b></p> <p>9 marks for evaluation – questioning might include:</p> <ul style="list-style-type: none"><li>• Expansionary fiscal policies not necessarily happening. It might mean expenditure elsewhere is cut (opportunity cost arguments)</li><li>• Trade-off between objectives e.g. increased spending might cause inflation, depends on the state of the fiscal balance, multiplier etc.</li><li>• Questioning whether education is effective, or whether other policies are needed, e.g. tax, banning advertisements</li><li>• Education might be counter-productive/role of state might be questioned e.g. government failure, crowding out effect</li></ul> | <b>(25)</b> |
|--|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|

**Knowledge, application and analysis**

EXAM PAPERS PRACTICE

| Level   | Mark  | Descriptor                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|---------|-------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0     | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| Level 1 | 1–4   | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                                                                                                                          |
| Level 2 | 5–8   | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response or superficial, two stage chains of reasoning only.                                                                                                                                                                      |
| Level 3 | 9–12  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer.<br>Analysis is clear and coherent, although it may lack balance.<br>Chains of reasoning are developed but the answer may lack balance.                                                                                                          |
| Level 4 | 13–16 | Demonstrates precise knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic factors. The answer demonstrates logical and coherent chains of reasoning. |

**Evaluation**

| Level   | Mark | Descriptor                                                                                                                                                                                                                                                               |
|---------|------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | No evaluative comments.                                                                                                                                                                                                                                                  |
| Level 1 | 1–3  | Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.                                                                                                                             |
| Level 2 | 4–6  | Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements.<br>Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning.                                           |
| Level 3 | 7–9  | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made. |



| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Mark |
|-----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (e)             | <p><b>Knowledge 4, Application 4, Analysis 8 Evaluation 9</b></p> <p>16 marks for KAA, for effects of increase in tax on HFSS foods.</p> <p>Microeconomic effects may include:</p> <ul style="list-style-type: none"><li>• Rational economics implies people will change consumption patterns. Consumer preferences will change away from HFSS foods e.g. as consumers switched to cheaper brands and crossed the border to Sweden and Germany to do their shopping (Extract C).</li><li>• An ad valorem or specific tax diagram might be used to illustrate the effects on prices/quantity in each market, and the incidence of tax</li><li>• Cross elasticity of demand – evidence (e.g. Extract C) that a rise in price may cause a rise in demand for healthy food.</li><li>• Welfare changes, e.g. loss of consumer, producer surplus/higher prices and deadweight welfare loss. This might be shown with an externalities diagram, e.g. positive in consumption of healthier foods.</li><li>• Impact on firms, e.g. loss in profits on HFSS as costs rise/demand falls. This might be illustrated using a costs/revenue diagram; increased profits for healthier options.</li><li>• Impact on labour market. Healthier workers, or effects of cut in real wages as costs of living increase. Changing employment opportunities. e.g. reduced employment for HFSS manufacturers and increased employment for healthy foods firms.</li></ul> |      |

|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |  |
|--|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
|  | <p>Macroeconomic effects may include:</p> <ul style="list-style-type: none"><li>• Redistribution (micro or macro issue): indirect taxes of this sort are regressive, disproportionately affecting the elderly and the poor. Taxes on HFSS foods moderate consumers, as well as the obese overeaters they are intended to target.</li><li>• Cost push inflation – a one-off rise in prices. This might be shown by an upwards/leftwards movement of AS</li><li>• Effects on incomes/net exports – may be linked to a fall in AD, e.g. in Denmark the policy helped push up food prices in a year in which real wages fell by 0.8%.</li><li>• Governments might gain revenue which can be used elsewhere in the economy / lose revenue – Laffer curve (Extract C)</li></ul> <p><b>NB for a Level 4 response there must be micro and macro effect (s). Opportunity cost/shift in PPF/labour markets/productivity/competitiveness etc. can be</b></p> |  |
|--|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|



**used as micro or macro.**

Up to 9 marks for evaluation. Points might include:

- Depends if firms respond by cutting prices (Extract B)
- The tax makes people buy other healthier food (in Extract C) e.g. increases price and people may substitute to cheaper even healthier or low-quality alternatives that are more affordable
- Tax is not an efficient deterrent to obesity. The policy had a very limited impact on the consumption of HFSS in the data foods: 80% of Danes did not change their shopping habits at all (Ext C). Not only is demand for food relatively inelastic, prices often fluctuate, and consumers become immune to changes
- Depends on magnitude- the proportion of income may be low
- The price elasticity of demand will determine the incidence of the tax - inelastic larger consumer incidence and elastic larger producer incidence.
- Depends on how funds are used - e.g. to promote healthy eating through subsidies and education
- The intervention may mean free markets work less well – theory of unintended consequences
- Other unintended consequences e.g. counterfeit, smuggling

**(25)**

**Knowledge, application and analysis**

EXAM PAPERS PRACTICE

| Level   | Mark  | Descriptor                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|---------|-------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0     | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| Level 1 | 1–4   | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                                                                                                                          |
| Level 2 | 5–8   | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response or superficial, two stage chains of reasoning only.                                                                                                                                                                      |
| Level 3 | 9–12  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer.<br>Analysis is clear and coherent, although it may lack balance.<br>Chains of reasoning are developed but the answer may lack balance.                                                                                                          |
| Level 4 | 13–16 | Demonstrates precise knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic factors. The answer demonstrates logical and coherent chains of reasoning. |

**Evaluation**

| Level   | Mark | Descriptor                                                                                                                                                                                                                                                               |
|---------|------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | No evaluative comments.                                                                                                                                                                                                                                                  |
| Level 1 | 1–3  | Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.                                                                                                                             |
| Level 2 | 4–6  | Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements.<br>Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning.                                           |
| Level 3 | 7–9  | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made. |

Q8.

| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Mark       |
|-----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| (a)             | <p style="text-align: center;"><b>Knowledge 1, Application 1, Analysis 3</b></p> <p><b>Knowledge/Understanding:</b> (up to 1 mark)</p> <ul style="list-style-type: none"> <li>• Real price of gas and electricity refers to their price adjusted to remove the effects of inflation (1)</li> <li>• Increase in demand (1)</li> <li>• Decrease in supply. (1)</li> <li>• The lack of competition (1)</li> </ul> <p><b>Application:</b> (up to 1 mark) e.g.</p> <ul style="list-style-type: none"> <li>• Figure 1 indicates the real price of gas and electricity has increased since 2004: electricity from 70 to 119 or rises 70% (accept approximations) (1)</li> <li>• Gas from 58 to 121 or rises by 108% (accept approximations) (1)</li> </ul> <p><b>Analysis:</b> up to 3 marks for linked development of one reason e.g.</p> <ul style="list-style-type: none"> <li>• Rise in price (1) due to non price determinant of demand e.g. income, economic growth, population growth (1) explained using contraction in demand or extension in supply or other extended analysis of market forces (1)</li> <li>• Rise in price (1) due to non price determinant of supply e.g. increase in cost of production, finite resources (1) explained using contraction in demand or extension in supply or other extended analysis of market forces (1)</li> <li>• Energy firms have sought to increase profits (1) tacit collusion (1) provide more dividends and higher share prices for shareholders (1) directors salaries linked to profits (1)</li> <li>• Energy firms able to exploit consumers not behaving rationally due to: influence of other consumers (1) habitual behaviour (1) computation difficulties (1)</li> </ul> | <b>(5)</b> |



| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Mark |
|-----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (b)             | <p><b>Knowledge 2, Application 2, Analysis 4</b></p> <ul style="list-style-type: none"><li>• <b>Measures referred to will increase competitiveness by removing imperfect information, addressing asymmetric information, reducing barriers to entry and exit.</b></li><li>• Customer database will help producers to directly contact consumers to offer better deals. <i>It may encourage firms to enter the market – the extract refers to recent new entrants having a combined market share of 12% for gas and electricity. Firms may enter as they have more market knowledge of customers for each energy supplier and are permitted to contact them directly offering their service.</i></li><li>• Smart meters will increase market information for consumers on their electricity consumption so may seek better deals. <i>Scope exists to enter as 70% of domestic customers of the six largest energy firms on an expensive standard tariff. Smart meters provide more information to customers on energy usage and price / reduce issue of asymmetric information / forcing energy suppliers to become more price competitive.</i></li><li>• Price cap for vulnerable customers on pre-paid meters will help limit increases in energy bills and so offer some protection as a surrogate for competition. <i>Price cap may offer some degree of certainty over the price firms could charge / encouraging market entry.</i></li><li>• Other evidence from Extract A demonstrates that measures have been successful in the past e.g. new entrants in the market</li></ul> <p><b>NB: Answers must relate to <i>effectiveness of measures</i></b><br/><b>NB: Arguments that the measures are successful may be seen as KAA and unsuccessful as evaluation or vice versa</b></p> | (8)  |



| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                                                                                                                                |
|---------|------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                         |
| Level 1 | 1–2  | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                           |
| Level 2 | 3–5  | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response; chains of reasoning are developed but the answer may lack balance.                                                       |
| Level 3 | 6–8  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |

| Question Number  | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Mark |
|------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (b)<br>continued | <p style="text-align: center;"><b>Evaluation 4</b></p> <ul style="list-style-type: none"><li>• Some consumers may still not switch to cheaper energy tariffs / due to problem of computation, inertia or habit.</li><li>• Customer database may lead to unintended consequences e.g. customer annoyance at telephone calls so they ignore calls, information overload resulting in making it harder to compute to make a decision.</li><li>• Significant barriers to entry exist in the domestic energy market: large economies of scale/established firms have some customer loyalty / advertising costs / licences required to supply energy.</li><li>• Price cap is only temporary and covers just 4 million customers / energy prices through pre-paid meters already exceed standard bills.</li><li>• Price cap may discourage firms from entering the market / as less profit incentive.</li><li>• Price cap may automatically become the price each company sets and so reduces competition and may increase prices.</li><li>• CMA found no evidence of anti-competitive practice.</li></ul> | (4)  |



| Level   | Mark | Descriptor                                                                                                                                                                  |
|---------|------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | No evaluative comments.                                                                                                                                                     |
| Level 1 | 1–2  | Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.                                |
| Level 2 | 3–4  | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and/or is critical of the evidence. |

| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Mark |
|-----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (c)             | <p><b>Knowledge 2, Application 2, Analysis 2</b></p> <ul style="list-style-type: none"><li>• Understanding of profit cap (a limit on profits as a percentage of total revenue).<br/><br/>Linked development: profit cap is usually introduced in industries where supernormal profits are regarded as excessive / profit cap may be necessary where little competition exists or where collusion is possible.</li><li>• Chair of CMA recommended 1.25% profit cap against industry return of 7%.<br/><br/>Linked development: profit cap is proposed in the retail sector of the energy industry which involves just marketing, billing and metering energy.</li><li>• Impact on consumers: lower energy bills and so households may be better off in real terms / may increase energy consumption / domestic firms that consume energy may become more competitive due to lower costs of production / rising consumer surplus.</li><li>• Impact on energy producers: lower revenue and so lower profits / less funds for investment and so risk of energy supplies in future / falling share prices and dividends / change in objective e.g. from profit maximisation to sales maximisation.</li></ul> <p><b>NB: For Level 3 response candidates must refer to consumers and supplies</b><br/><b>NB: Negative effects on consumers and producers may be seen as KAA and positive effects as evaluation or vice versa</b></p> | (6)  |



| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                                             |
|---------|------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | A completely inaccurate response.                                                                                                                                                                                                                                                                      |
| Level 1 | 1–2  | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no link between causes and consequences.                                                                |
| Level 2 | 3–4  | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response or the answer may lack balance.        |
| Level 3 | 5–6  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are applied appropriately to the broad elements of the question. |

| Question Number  | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Mark |
|------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (c)<br>continued | <p style="text-align: center;"><b>Evaluation 4</b></p> <ul style="list-style-type: none"> <li>• There may be upward effects on price for consumers as firms become more x-inefficient or reduce total investment.</li> <li>• Depends on the level of profit cap on energy firms / how long it may be applied: if it is 1.25% it may be too harsh compared to other industries such as supermarkets.</li> <li>• It is a vertically integrated industry – so energy companies can make profits in the generation of electricity and gas.</li> <li>• Energy firms appear to have made huge profits over previous years and so may be able to cope with lower profits.</li> <li>• Energy firms may increase sales revenue and so profit values may still be high.</li> <li>• Energy suppliers experience low levels of risk in their retail operations so necessary rewards are lower.</li> <li>• Unintended consequences such as a reduction in new entrants to the industry and less competition, risk of power shortages due to under investment or excess demand.</li> <li>• Multinational owners may use transfer pricing to avoid profit cap.</li> </ul> | (4)  |



| Level   | Mark | Descriptor                                                                                                                                                                  |
|---------|------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | No evaluative comments.                                                                                                                                                     |
| Level 1 | 1–2  | Identification of generic evaluative comments without supporting evidence/ reference to context.<br>No evidence of a logical chain of reasoning.                            |
| Level 2 | 3–4  | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and/or is critical of the evidence. |

| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Mark |
|-----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (d)             | <p><b>Knowledge 2, Application 2, Analysis 2, Evaluation 2</b></p> <p><b>Accept answers based on switching between electricity suppliers as well as switching from electricity to other energy sources</b></p> <p><b>Knowledge/Understanding:</b> 2 marks for identification of two reasons (1+1) e.g.</p> <ul style="list-style-type: none"> <li>• It takes time for consumers to switch demand following price changes</li> <li>• Existing contracts make it difficult to switch in the short term</li> <li>• More substitutes available in the longer term</li> </ul> <p><b>Analysis:</b> 1 mark for linked explanation of each reason (1+1) e.g.</p> <ul style="list-style-type: none"> <li>• Demand more price inelastic in short run as: takes time for consumers to adjust their consumption habits (habitual behaviour) / imperfect market information / no close substitutes.</li> <li>• Demand less price inelastic in long run as: some consumers are able to change their habits improved market information / substitutes may emerge such as greater use of gas appliances or installation of solar power panels.</li> </ul> |      |

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|--|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
|  | <p><b>Application:</b> 2 marks for reference to data (1+1), e.g.</p> <ul style="list-style-type: none"> <li>• Idea that demand is price inelastic (1) becoming less inelastic / more elastic in the long run (1)</li> <li>• Use of Extract A e.g. 70% of domestic consumers do not switch (1)</li> <li>• Development of new technology that reduces electricity consumption / electricity saving lightbulbs or energy efficient kettles (1)</li> <li>• Increased awareness of measures to become more price sensitive (1) to become more energy efficient (1)</li> <li>• Costs and time involved in switching to energy-saving appliances (1)</li> </ul> |  |
|--|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|



- Improved consumer knowledge of consumption through smart meters (1)
- New firms might enter the market using gas / biofuel / solar / wind / households producing their own rather than buying electricity (1)

**Evaluation:** 2 marks for two evaluative comments, OR 2 marks for identification and linked development of one comment

- The figures are averages for all households – but great variation exists between households; for example, there may be no effect on households who have little concern for energy saving measures.
- High income households may not be affected by rising electricity prices as it comprises such a small part of total income – so demand remains very price inelastic.
- Some households may suffer from imperfect market knowledge in long run or cannot change their habits – so demand remains very price inelastic.
- Consideration of the magnitude of the change in elasticity (from -0.35 to -0.85); quite substantial in terms of doubling elasticity / or electricity demand still remains price inelastic in the long run as no suitable alternatives.

**(8)**



| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Mark |
|-----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (e)             | <p><b>Knowledge 3, Application 3, Analysis 3</b></p> <p>Policies may include:</p> <ul style="list-style-type: none"><li>• <b>Increase investment in training programmes</b> to raise quantity and quality of human capital and productivity / increase provision of modern apprenticeship schemes / it may involve government subsidies or tax breaks to firms.</li><li>• <b>Recruit skilled workers from overseas</b> via careers fairs and trade journals / provides a ready supply of labour.</li></ul> <p>Accept policies referring to geographical mobility of labour if linked to the energy sector.</p> <ul style="list-style-type: none"><li>• <b>Change industry image</b> so it appeals to more female school leavers and graduates – this may involve restructuring of careers advice / marketing programmes and information on career paths and opportunities.</li><li>• <b>Retain ageing workforce</b> by improving working conditions and rates of pay / offer flexible working hours and part-time work / raise state retirement age; older workers have higher levels of human capital and so productivity could be increased.</li></ul> <p><b>NB: For Level 3 response candidates must refer to at least one business policy and one government policy.</b></p> <p><b>NB: For Level 3 response candidates must refer to the energy sector.</b></p> | (9)  |

| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                                                                                                                                |
|---------|------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                         |
| Level 1 | 1–3  | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                           |
| Level 2 | 4–6  | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response; chains of reasoning are developed but the answer may lack balance.                                                       |
| Level 3 | 7–9  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |



| Question Number  | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Mark |
|------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (e)<br>continued | <p style="text-align: center;"><b>Evaluation 6</b></p> <ul style="list-style-type: none"><li>• <b>Training programmes</b> involve (opportunity) costs to businesses and government / time period to train labour, especially in higher order technical skills / quality of training programmes.</li><li>• <b>Recruitment of skilled workers from overseas</b> may create problems such as access to UK jobs following Brexit decision / language barriers / differences in qualifications and skills to those required / possibility of higher staff turnover if overseas workers intend to return home / family ties and high house prices may create geographical immobility of labour.</li><li>• <b>Changing energy sector image</b> may require high levels of marketing expenditure / some jobs may not suit parents with family commitments.</li><li>• <b>Retain older workers</b> could lead to problems of poor health and low productivity and ability to learn new tasks. Also the underlying skilled labour shortage remains – eventually older workers will retire.</li><li>• <b>Other policies</b> to overcome labour shortage for example, new technology to substitute labour with capital, means that reducing labour immobility is not a priority.</li></ul> | (6)  |

| Level   | Mark | Descriptor                                                                                                                                                                               |
|---------|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | No evaluative comments.                                                                                                                                                                  |
| Level 1 | 1–2  | Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.                                             |
| Level 2 | 3–4  | Evidence of evaluation of alternative approaches which is unbalanced.<br>Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning. |
| Level 3 | 5–6  | Evaluative comments supported by relevant chain of reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and/or is critical of the evidence.     |

Q9.



| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Mark |
|-----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (a)             | <p><b>Knowledge 2, Application 2, Analysis 1</b></p> <p><b>Knowledge and analysis</b></p> <p>3 marks for identifying market structure and relevant features. Points might include:</p> <ul style="list-style-type: none"><li>• Monopolistic competition or highly competitive (1)</li><li>• Many small sellers in the market (1)</li><li>• Low price setting power (1)</li><li>• Firms sell differentiated goods (1)</li><li>• Normal profit/low profit margins as a sign (1) of low barriers to entry/exit (1)</li><li>• Allow up to 2 marks for diagrammatic analysis</li></ul> <p><b>Application:</b></p> <p>2 marks for data (1+1 or 2): point might include:</p> <ul style="list-style-type: none"><li>• there are many firms 10 000 to 20 000 (1)</li><li>• cheap, low skill labour are possibly migrants (1)</li><li>• low level of capital required (1)</li><li>• everyone paying the same £5 (1)</li><li>• some offering inside and out washes (1) / similar car washing at each provider (1)</li><li>• Availability of cheap premises make market entry easier (1)</li></ul> | (5)  |



| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Mark |
|-----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (b)             | <p style="text-align: center;"><b>Knowledge 2, Application 2, Analysis 2, Evaluation 2</b></p> <p><b>Knowledge/ implicit understanding:</b> (1+1) marks for <b>two</b> reasons and explanation e.g.</p> <ul style="list-style-type: none"><li>• HCWs are inferior goods if demand rises when incomes fall</li><li>• HCWs at £5 are a very small percentage of consumer income so they might be seen as essential or basic goods</li><li>• Other factors affect demand apart from income, for e.g. availability and price of substitutes (automatic car washes [might be normal/luxury good] or car washing equipment), working patterns</li></ul> <p><b>Application:</b> (2 marks for any relevant point, or two points 1 +1). Points might include:</p> <ul style="list-style-type: none"><li>• Incomes are not keeping up with inflation so real incomes are falling</li><li>• HCWs at £5 are a very small percentage of consumer income so they might be seen as essential or basic goods.</li><li>• Increased demand when people have lower incomes – high level of utility at small expense, Extract A paragraph 2</li><li>• Extract B: there is a decrease in the availability of automatic car washes as independent petrol retailers go out of business.</li><li>• Increased number of sites and rents have fallen (Extract A paragraph 3)</li></ul> |      |

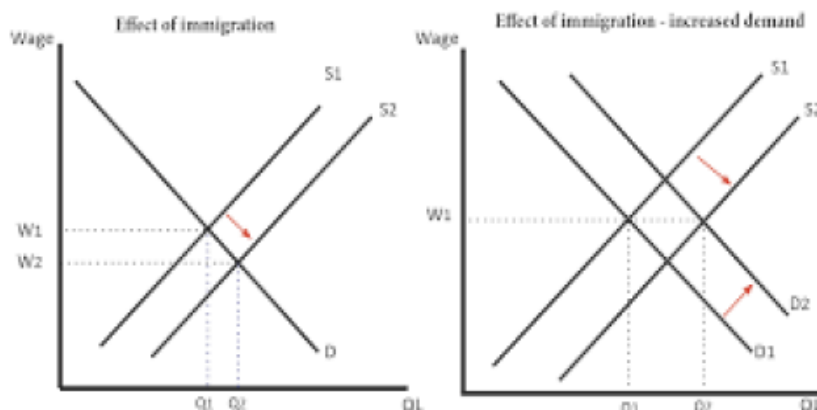
|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |     |
|--|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|
|  | <p><b>Analysis (1 + 1):</b></p> <ul style="list-style-type: none"><li>• Linked development of the two points made</li><li>• Maybe shown by diagrammatic analysis</li></ul> <p><b>Evaluation:</b> (2 marks for any relevant point, two points 1 +1). Points might include:</p> <ul style="list-style-type: none"><li>• Subjective happiness is yielded from an HCW, implying that it is rational to use an HCW/it is not rational as washing the car at home is cheaper when incomes fall</li><li>• Incomes have not been falling over the whole period, so it is more likely that as incomes rise people are buying a HCW as a YED is low (small percentage of income)</li><li>• Regional or demographic changes in incomes</li></ul> | (8) |
|--|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|



| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Mark |
|-----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (c)             | <p><b>Knowledge 2, Application 2, Analysis 4</b></p> <p><b>Knowledge/implicit understanding:</b> Points might include:</p> <ul style="list-style-type: none"><li>• Increased labour supply – workers willing to take low-paid jobs</li><li>• Arguments also allowed that since the UK left the EU, many workers are leaving – question does not specify immigration or emigration</li><li>• Increased demand from increased UK population also allowed as an approach</li></ul> <p><b>Application:</b></p> <ul style="list-style-type: none"><li>• Immigrants the main employees at HCWs and similar labour intensive firms (Extract A)</li><li>• Implication in EU that increased immigration (Extract A paragraph 4) has caused supply to increase and therefore wages half of minimum wage (Ext A last paragraph)</li><li>• HCW often a first job while the migrant's language improves on arrival in the UK (Ext A)</li><li>• Following UK leaving the EU many low skilled labour may leave</li><li>• Workers are not able to migrate as wages are not high enough in sector to be able to migrate to post UK leaving the EU</li></ul> |      |

|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |     |
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|  | <p><b>Analysis:</b></p> <ul style="list-style-type: none"><li>• Labour market diagram showing increase in the supply of labour</li><li>• NMW diagram showing excess supply of labour at the wage floor</li><li>• Allow decrease in supply, e.g. since the UK leaving the EU</li><li>• Allow backward bending supply of labour</li><li>• Allow monopsony diagrams (although not required)</li><li>• Some segments require more skilled workers and not suit low skilled migrant workers, e.g. valeting</li><li>• Reference to any industry that relies on migrant workers, e.g. hospitality, nursing, construction</li></ul> <p><b>NB if no valid diagram or reference to an industry, then award a maximum of Level 2 KAA</b></p> | (8) |
|--|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|

Diagram, shift in demand and/or supply, or minimum wage e.g.



| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                                                                                                                                |
|---------|------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                         |
| Level 1 | 1–2  | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                           |
| Level 2 | 3–5  | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response; chains of reasoning are developed but the answer may lack balance.                                                       |
| Level 3 | 6–8  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |



| Question Number  | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Mark |
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| (c)<br>continued | <p style="text-align: center;"><b>Evaluation 4</b></p> <ul style="list-style-type: none"><li>• Impact of UK leaving the EU, Global Health Crisis etc. might put immigration figures into negative, and wages and conditions might improve</li><li>• Depends on monopsony power</li><li>• Evidence suggests there is not exploitation, or there is not enough evidence</li><li>• Some firms are charging a fair wage</li><li>• Other changes in the pipeline</li><li>• The size of the changes in migration will dictate the impact on labour market</li><li>• The ability of workers to move to other sectors/ speed language developed will determine impact on labour market</li><li>• Within HCW there are sub-markets - some specialise in luxury vehicles - others are mobile operators who visit home - each will be affected differently</li></ul> | (4)  |

| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                |
|---------|------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | No evaluative comments.                                                                                                                                                                                                                                                   |
| Level 1 | 1-2  | Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.                                                                                                                              |
| Level 2 | 3-4  | Evaluative comments supported by relevant reasoning and appropriate reference to the context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made. |



| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Mark |
|-----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (d)             | <p><b>Knowledge 4, Application 4, Analysis 8, Evaluation 9</b></p> <p>16 marks for KAA, for causes of the number of firms in an industry to change.</p> <p>Microeconomic causes may include:</p> <ul style="list-style-type: none"><li>• nationalisation</li><li>• privatisation</li><li>• contestability</li><li>• market power</li><li>• economies of scale – natural monopoly</li><li>• regulation and deregulation</li><li>• oligopoly behaviour</li><li>• barriers to entry e.g. factors linked to demand- tastes- preference for HCW over automatic, income, availability of substitutes- decline in automatics</li></ul> |      |

|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |  |
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|  | <p>Macroeconomic causes may include:</p> <ul style="list-style-type: none"><li>• economic growth – e.g. a growing market means more firms will enter</li><li>• trade patterns</li><li>• level of protectionism</li><li>• government policies e.g. supply side policies</li><li>• TNCs and FDI</li><li>• unemployment (especially given recent events)</li><li>• inflation- if inflation is high, costs rise and if unable to increase prices, then firms may exit the market</li><li>• Level of environmental protection- adds to the costs and may reduce the number of firms.</li><li>• Exchange rates - if appreciated - costs to import lower and export higher - exporters may exit the market</li><li>• Relative poverty high and rising - more demand low costs HCW increasing demand and market size - more firms</li></ul> <p><b>NB for a Level 4 response there must be micro and macro cause(s). Foreign direct investment, role of TNCs, or regulation could be seen micro or macroeconomics</b></p> <p><b>NB for a Level 4 response there must be reference to an industry</b></p> |  |
|--|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|



9 marks for evaluation – points might include:

- Depends on the nature of the business. Another industry could be used as a contrast, e.g. a capital intensive industry
  - Depends on the LRAC and the minimum efficient scale in the current situation
  - Changes over time – barriers to entry or exit are likely to change e.g. in the face of new technology in car wash industry or other industry
  - Exchange rates go up and down so could equally depreciate
  - Environmental protection may create more demand as it is a more ethical service and not cause the number of firms to fall
- (25)

### Knowledge, application and analysis

| Level   | Mark  | Descriptor                                                                                                                                                                                                                                                                                                                      |
|---------|-------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0     | A completely inaccurate response.                                                                                                                                                                                                                                                                                               |
| Level 1 | 1–4   | Displays ability to apply knowledge in context but will focus on small range of elements.<br>Demonstrates understanding by identifying relevant information.<br>Demonstrates knowledge and understanding of terms, concepts, theories and models.                                                                               |
| Level 2 | 5–8   | Shows ability to apply economic ideas and relate them to economic problems in context.<br>Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.                                                                                                       |
| Level 3 | 9–12  | Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others.<br>Shows ability to apply economic ideas and relate them directly to the broad elements in the question.                                                                       |
| Level 4 | 13–16 | Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects.<br>A clear understanding of economic principles, concepts, theories and arguments. |



| Evaluation |      |                                                                                                                                                                                                                                                                              |
|------------|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Level      | Mark | Descriptor                                                                                                                                                                                                                                                                   |
|            | 0    | No evaluative comments.                                                                                                                                                                                                                                                      |
| Level 1    | 1–3  | Identification of evaluative comments without explanation.                                                                                                                                                                                                                   |
| Level 2    | 4–6  | Evaluative comments with limited explanations.<br>Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.                                                                                                             |
| Level 3    | 7–9  | Evaluative comments supported by relevant reasoning and appropriate reference to the context.<br>Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made. |

| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Mark |
|-----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (e)             | <p><b>Knowledge 4, Application 4, Analysis 8, Evaluation 9</b></p> <p>16 marks for KAA, for effects of increased government intervention.</p> <p>Microeconomic effects may include:</p> <ul style="list-style-type: none"><li>• Minimum price, living wage enforced, planning issues, tax, health and safety</li><li>• Rise in wages (if wage floors introduced) will have a large impact on costs. Might be shown on increasing NMW diagram</li><li>• Effect on price of car washes – consumer surplus falls, output falls, price increases</li><li>• Impact on quantity of labour/marginal revenue productivity</li><li>• Impact on productivity</li><li>• Diagram to show the effect of the intervention approach, e.g. of minimum price as solution to market failure</li><li>• Price of a car wash might be passed on to higher wages</li></ul> |      |



|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |  |
|--|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
|  | <p>Macroeconomic effects may include:</p> <ul style="list-style-type: none"><li>• Income equality improvements – may use Gini coefficient or Lorenz curve</li><li>• Prices rise – inflationary effects</li><li>• reduction in levels of poverty</li><li>• effects on growth – inflexibility in markets can reduce I or FDI</li><li>• might improve environmental standards</li><li>• Reduced employment</li></ul> <p><b>NB for a Level 4 response there must be micro and macro effect (s). Employment or welfare issues could be seen as micro or macro, for example, can be used as either micro or macroeconomics</b></p> <p><b>NB for a Level 4 response there must be reference to an industry</b></p> |  |
|--|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|

|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |      |
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|  | <p>9 marks for evaluation – points might include:</p> <ul style="list-style-type: none"><li>• Government failure, e.g. regulatory capture, asymmetric information</li><li>• depends on impact of other events such as UK leaving the EU, high unemployment from recent Global Health Crisis</li><li>• effect on workforce of employment regulation depends on elasticity for demand for labour, and degree with which it can be replaced with capital</li><li>• depends on PED of HCW market as a whole</li><li>• consumers might also have increases in wages</li><li>• some firms will face decreased demand and go out of business. Loss of jobs and other economic activity</li><li>• depends on the PED and PES in factor market and product market as a whole</li><li>• Wash Mark Certificates not government regulation may have more of an impact in improving quality and conditions for workers and reducing pollution than government action</li></ul> | (25) |
|--|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|

**Knowledge, application and analysis**

| Level   | Mark  | Descriptor                                                                                                                                                                                                                                                                                                                      |
|---------|-------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0     | A completely inaccurate response.                                                                                                                                                                                                                                                                                               |
| Level 1 | 1–4   | Displays ability to apply knowledge in context but will focus on small range of elements.<br>Demonstrates understanding by identifying relevant information.<br>Demonstrates knowledge and understanding of terms, concepts, theories and models.                                                                               |
| Level 2 | 5–8   | Shows ability to apply economic ideas and relate them to economic problems in context.<br>Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.                                                                                                       |
| Level 3 | 9–12  | Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others.<br>Shows ability to apply economic ideas and relate them directly to the broad elements in the question.                                                                       |
| Level 4 | 13–16 | Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects.<br>A clear understanding of economic principles, concepts, theories and arguments. |

**Evaluation**

| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                   |
|---------|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | No evaluative comments.                                                                                                                                                                                                                                                      |
| Level 1 | 1–3  | Identification of evaluative comments without explanation.                                                                                                                                                                                                                   |
| Level 2 | 4–6  | Evaluative comments with limited explanations.<br>Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.                                                                                                             |
| Level 3 | 7–9  | Evaluative comments supported by relevant reasoning and appropriate reference to the context.<br>Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made. |

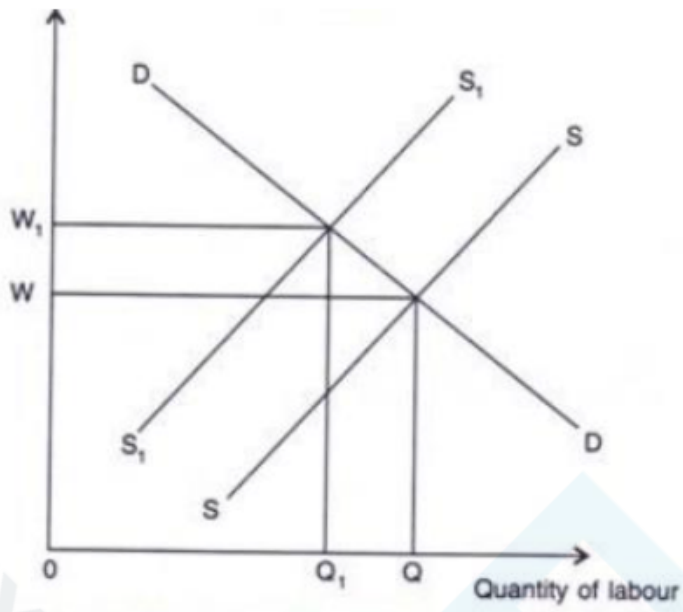
Q10.



| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                     | Mark |
|-----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (a)             | <p style="text-align: center;"><b>Knowledge 1</b></p> <p><b>The only correct answer is D</b></p> <p><i>A is not correct because Statement 1 and 2 are positive statements, they are not value judgements</i></p> <p><i>B is not correct Statement 1 is positive as it is an objective statement which can be tested</i></p> <p><i>C is not correct because Statement 2 is positive</i></p> | (1)  |

| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Mark |
|-----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (b)             | <p style="text-align: center;"><b>Knowledge 2, Application 1, Analysis 1</b></p> <p><b>Knowledge / understanding:</b> 2 marks for understanding e.g.</p> <ul style="list-style-type: none"><li>• Supply of labour decreases (1)</li><li>• Wage rises (1)</li></ul> <p><b>Application:</b> 1 mark for e.g.</p> <ul style="list-style-type: none"><li>• Takes time to train engineers (1)</li><li>• Migration of 1 million workers (1)</li><li>• Annotating diagram in context of engineers (1)</li><li>• Shortage of engineers (1)</li><li>• 'Many engineers have left Poland for higher paid jobs in other countries' (1)</li></ul> <p><b>Analysis:</b> 1 mark for a linked development e.g.</p> <ul style="list-style-type: none"><li>• Excess demand (1)</li><li>• Firms offer higher wages (1)</li><li>• Firms contract demand for labour (1)</li><li>• New labour market equilibrium achieved (1)</li></ul> <p><b>NB Full marks only to be awarded for specific reference to labour market.</b></p> | (4)  |

Wage rate



Q11.



| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Mark |
|-----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
|                 | <p style="text-align: center;"><b>Knowledge 4, Application 4, Analysis 8, Evaluation 9</b></p> <p><b>Factors might include:</b></p> <ul style="list-style-type: none"><li>• Net-wage financial advantages including rise in NMW, benefits and tax (MTR); relative to other occupations/countries/leisure</li><li>• Job satisfaction/safety - bonuses, employment rights</li><li>• Skills required – cost and ease of education and training, qualifications needed, transferability of skills</li><li>• Workforce demographics – early retirement, women entering workforce, cultural or social geographical ties</li><li>• Housing costs in a particular area</li><li>• Reduced net migration flows to UK from within EU</li><li>• Infrastructure – ability to commute or work from home</li><li>• Trade union power</li><li>• Flexibility – willingness to sign up to zero-hour contracts to overcome barriers to work due to caring or study commitments</li></ul> <p><b>NB: allow application to any industry/occupation. To secure Level 4 requires application to at least one occupation.</b></p> |      |

|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |             |
|--|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|
|  | <p style="text-align: center;"><b>Evaluation</b></p> <ul style="list-style-type: none"><li>• Prioritisation of factors.</li><li>• Ease and cost of acquiring skills/language barriers</li><li>• Barriers to work - social exclusion, study or care commitments, disability discrimination</li><li>• State of economy – recession</li><li>• Increase in non-EU net-migration</li><li>• Information problems</li><li>• Government measures to improve/limit supply</li><li>• Short-run/long-run</li><li>• Rate entering versus rate leaving market</li><li>• Significance of factors change over time with short run and long run considerations</li><li>• Combination of factors is likely to have a bigger impact on supply of labour</li></ul> | <b>(25)</b> |
|--|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|



| Knowledge, application and analysis |       |                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|-------------------------------------|-------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Level                               | Mark  | Descriptor                                                                                                                                                                                                                                                                                                                                                                                                                         |
|                                     | 0     | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                                                                  |
| Level 1                             | 1–4   | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                                                                    |
| Level 2                             | 5–8   | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response or superficial, two stage chains of reasoning only.                                                                                                                |
| Level 3                             | 9–12  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer.<br>Analysis is clear and coherent, although it may lack balance.<br>Chains of reasoning are developed but the answer may lack balance.                                                    |
| Level 4                             | 13–16 | Demonstrates precise knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |

| Evaluation |      |                                                                                                                                                                                                                                                                          |
|------------|------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Level      | Mark | Descriptor                                                                                                                                                                                                                                                               |
|            | 0    | No evaluative comments.                                                                                                                                                                                                                                                  |
| Level 1    | 1–3  | Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.                                                                                                                             |
| Level 2    | 4–6  | Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements.<br>Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.                                           |
| Level 3    | 7–9  | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made. |

Q12.

| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Mark |
|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (a)             | <p><b>Knowledge 1, Application 1, Analysis 3</b></p> <p><b>Knowledge and Analysis:</b> (up to 4 marks)</p> <p>Correctly labelled diagram annotated to show a shift right in the supply curve (2)</p> <p>e.g. rise in subsidy</p> <p><b>NB:</b> also accept a double shift right indicating an increase in subsidy.</p> <p><b>NB:</b> also accept a rise in price, given prices annually linked to RPI, but less than it would have been.</p> <p><b>NB:</b> 2 KAA marks are reserved for an accurate diagram</p> |      |

|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |     |
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|  | <p>Explanation that subsidy increase is a rise in financial assistance OR cut in cost of production OR additional cash grant (2)</p> <p>Explanation that decreasing costs borne by producers is passed on to consumers as a fall in rail fares OR excess supply results in fall in rail fares (2)</p> <p><b>Application:</b> 1 for reference to Figure 1 e.g.<br/> subsidy rises around £11 million (1)<br/> subsidy rises from £277 million to £287.9 million (1)<br/> subsidy increased by 3.9% (1)</p> | (5) |
|--|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|



| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Mark |
|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (b)             | <p><b>Knowledge 2, Analysis 2, Application 2, Evaluation 2</b></p> <p><b>Knowledge/understanding:</b> 2 marks for identification of two non price determinants (1+1) e.g.</p> <ul style="list-style-type: none"><li>• Change in taste and preference/quality of service</li><li>• Changes in income</li><li>• Price of substitute has risen/substitute less attractive</li><li>• Price of complement has fallen/complement more attractive</li><li>• Increased population/migration</li><li>• Lower price in real terms</li><li>• Lower prices – special offers/off-peak/forward booking.</li></ul> |      |

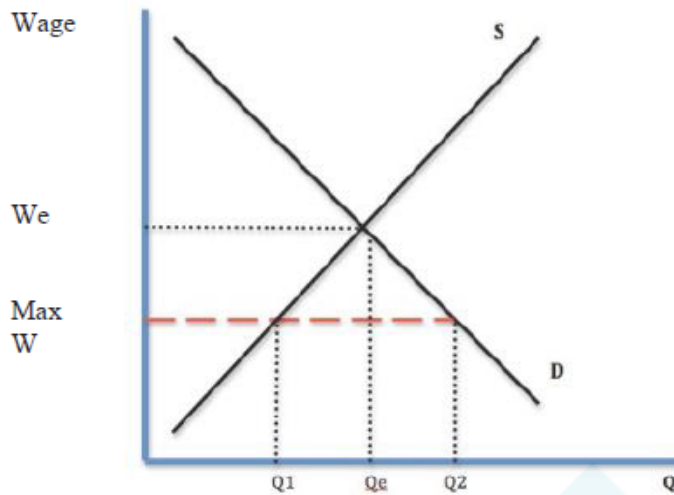
|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |
|--|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
|  | <p><b>Analysis:</b> 1 mark for linked explanation of each identified determinant to demand increasing/shifting right (this may be shown on a diagram) (1+1)</p> <p>Increase in population moved to commuter areas/improvement in rail stock e.g. wifi access.</p> <p>Income elasticity of demand</p> <p>Close substitute e.g. car travel, XED &gt;+1</p> <p>Close complement e.g. on-board meal, XED &gt;-1</p> <p><b>Application:</b> 2 marks for reference to Figure 2 (1+1) or other data (1), e.g.</p> <ul style="list-style-type: none"><li>• Approximately 50 billion rail passenger kilometres per year (1) to 65 billion (1) or increased by 15 billion rail passenger kilometres per year (2) or Increased by 30% (2)</li><li>• Economic recovery post 2008 crisis (1)</li><li>• Cost of car travel/road congestion (1)</li><li>• Quality of train meals/on board Wi-Fi access (1)</li></ul> |  |
|--|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|



|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |     |
|--|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|
|  | <p><b>Evaluation:</b> 2 marks for two evaluative comments,<br/>OR 2 marks for identification and linked development of one<br/>evaluative comment, evaluating significance of factors or<br/>another reason as a counter-argument e.g.</p> <ul style="list-style-type: none"><li>• Delays and cancellations (1)</li><li>• Recession 2008- 2010 (1)</li><li>• Car travel still cheaper/train delays and cancellations (1)</li><li>• Rail meals expensive/congested trains so can't work on board (1)</li><li>• Increased home working</li><li>• Rail fares have risen (1)</li></ul> | (8) |
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| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Mark |
|-----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (c)             | <p><b>Knowledge 2, Application 2, Analysis 2</b></p> <p><b>Positive effect on protection of employees:</b></p> <ul style="list-style-type: none"><li>• Safety of employees maybe better protected</li><li>• Trade unions will succeed in securing higher wages in negotiations with government rather than private firms. Rail employees become subject to public sector wage setting. Extension in supply of labour.</li><li>• Greater job security</li><li>• Improved integration between state owned rail network and rail operators resulting in rail expansion.</li><li>• Reduced inequality in pay between employees.</li><li>• Private sector firms may cut less profitable route whereas government will continue these routes protecting employees</li></ul> <p><b>Negative effect on protection of employees:</b></p> <ul style="list-style-type: none"><li>• 'Maximum wage on executive managers pay' may be implemented – causing shortages with specialist managers</li><li>• Nationalisation may not 'provide a wider choice'/quality resulting in lower levels of employment</li><li>• Lack of funds for investment from the government may reduce the long-term attractiveness of railways causing service to be cut in future</li></ul> |      |

**NB: Allow relevant diagram e.g.**



**NB: Negative effects can be seen as KAA and positive effects as evaluation or vice versa.**

**NB: for a Level 3 response there must be reference to the context of nationalisation of the rail industry.**

**NB: for a Level 3 response there must be reference to the effect on employees.**

**(6)**

| Level   | Mark       | Descriptor                                                                                                                                                                                                                                                                                             |
|---------|------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | <b>0</b>   | A completely inaccurate response.                                                                                                                                                                                                                                                                      |
| Level 1 | <b>1-2</b> | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no link between causes and consequences.                                                                |
| Level 2 | <b>3-4</b> | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response or the answer may lack balance.        |
| Level 3 | <b>5-6</b> | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are applied appropriately to the broad elements of the question. |



| Question Number  | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Mark |
|------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (c)<br>continued | <p style="text-align: center;"><b>Evaluation 4</b></p> <ul style="list-style-type: none"><li>• Limited effect since many train operators such as East Coast now in the public sector</li><li>• Rail usage which increased under privatisation may decline causing suppliers profits and employees wages to decline</li><li>• Public or private sector ownership may make no difference to executive managers pay</li><li>• Wages may not increase faster under state ownership compared to private sector.</li><li>• Level of personnel could be cut substantially under nationalisation if the government has to make spending cuts.</li><li>• Wages may not increase faster under state ownership compared to private sector.</li></ul> <p><b>NB: Negative effects can be seen as KAA and positive effects as evaluation or vice versa.</b></p> <p><b>NB: for a Level 2 response there must be reference to employees in context.</b></p> | (4)  |

| Level   | Mark       | Descriptor                                                                                                                                                                  |
|---------|------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | <b>0</b>   | No evaluative comments.                                                                                                                                                     |
| Level 1 | <b>1-2</b> | Identification of generic evaluative comments without supporting evidence/ reference to context.<br>No evidence of a logical chain of reasoning.                            |
| Level 2 | <b>3-4</b> | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and/or is critical of the evidence. |

| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Mark |
|-----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (d)             | <p><b>Knowledge 2, Application 2, Analysis 4</b></p> <p><b>Case for rail network being a natural monopoly</b></p> <ul style="list-style-type: none"> <li>Define natural monopoly</li> <li>Application – rail network was renationalised in 2001 after privatisation in 1993 promised competition. Need for integrated national rail network of 32 000km for 2 500 stations, requires enormous investment.</li> <li>Large infrastructure cost means adding one more passenger or one more train means AC continues to fall.</li> <li>Little additional costs associated with an additional customer or train running.</li> <li>Operating one rail track minimises average costs, rail network's LRAC continues to fall as high fixed costs associated with laying track and building new stations.</li> <li>Allocative efficiency is met at close to large share of market demand. Minimum efficiency scale will require large subsidies to fund off peak services and cover losses.</li> <li>Average cost would be very high for having two or more rail companies with wasteful duplication of multiple tracks – resulting in higher rail fares.</li> <li>Allow relevant diagram e.g.</li> </ul> |      |

|                                                                                                                                                                                                                                                                                                       |     |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|
| <p>AC</p> <p>Output</p> <ul style="list-style-type: none"> <li>Only one rail network company can fully exploit large internal economies of scale – technical, commercial, managerial.</li> </ul> <p><b>NB: Case for can be seen as KAA and positive case against as evaluation or vice versa.</b></p> | (8) |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|



| Level   | Mark       | Descriptor                                                                                                                                                                                                                                                                                                                                                                                |
|---------|------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | <b>0</b>   | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                         |
| Level 1 | <b>1-2</b> | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                           |
| Level 2 | <b>3-5</b> | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response; chains of reasoning are developed but the answer may lack balance.                                                       |
| Level 3 | <b>6-8</b> | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |

| Question Number  | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Mark |
|------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (d)<br>continued | <p style="text-align: center;"><b>Evaluation 4</b></p> <p><b>Case for rail network not being a natural monopoly</b></p> <ul style="list-style-type: none"> <li>• Government support for competition: "companies can bid to build new rail lines to upgrade the railway."</li> <li>• Train operating companies already compete to run trains on lines</li> <li>• Rail lines and stations could be leased out to competing firms</li> <li>• Potential diseconomies of scale in rail infrastructure – managerial slack, closure of rail lines.</li> <li>• Technological advances may result in competing rail lines.</li> </ul> <p><b>NB: Case for can be seen as KAA and positive case against as evaluation or vice versa.</b></p> | (4)  |



| Level   | Mark       | Descriptor                                                                                                                                                                  |
|---------|------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | <b>0</b>   | No evaluative comments.                                                                                                                                                     |
| Level 1 | <b>1-2</b> | Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.                                |
| Level 2 | <b>3-4</b> | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and/or is critical of the evidence. |

| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Mark |
|-----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (e)             | <p><b>Knowledge 3, Application 3, Analysis 3</b></p> <p>Price discrimination – charging different prices to different groups of consumers for the same service e.g. 16-25 railcard users vs adult fare users. Allow peak and off-peak as service from A to B is the same, price discrimination just provides an incentive to travel slightly later.</p> <ul style="list-style-type: none"><li>• <b>Lower rail fares for 16-25 year olds</b><br/>Young persons' may increase their consumer surplus as a result – prices may move towards being more allocatively efficient <math>P=MC</math>. May find bargain fares - £35.80 cheaper as in Figure 3.<br/>Allows lower income groups to consume service – seek employment.</li><li>• <b>More choice for rail travellers:</b><br/>Price discrimination enables TOCs to make more revenue so they can cross subsidise and provide discount fares for seats that would not have been taken. In some cases without price discrimination rail operators may go out of business – preventing rail travel.</li></ul> |      |

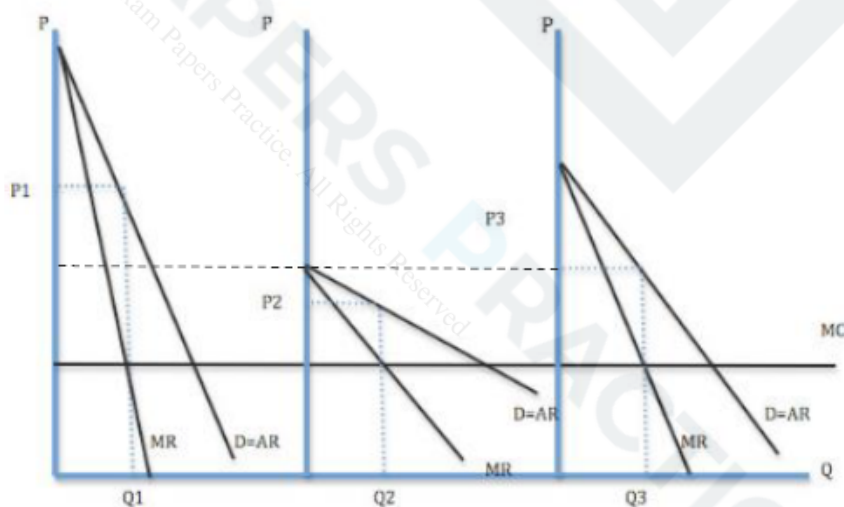
- **Avoids overcrowding**

Train operators can use price discrimination to manage demand, preventing overcrowded train in peak travel times and encouraging rail travel by 16-25 year olds in less popular times off peak.

- **Improved customer service**

Rail travellers receive a better-quality travelling experience thanks to additional revenue raised through price discrimination. Investment in new trains, station services, online ticketing, customer information, Improved food and drink service, Wi-Fi access, seating and storage space.

- **Price discrimination diagram** showing, for example: Market profit maximising price and output P3 and Q3. At which no service would be provided for 16-25 year old customers. Price discrimination enables a lower price of P2 (£69.50) for young persons' – so consumer surplus increases for consumers with relatively more price elastic demand



**NB: Other correct diagrams accepted.**

**NB: For Level 3 a valid diagram such as above is required. Analysis must link to benefits to consumers. Allow other types of rail fare price discrimination e.g advance booking, Senior Railcard, 16-17 year olds half price travel.**

(9)



| Level   | Mark       | Descriptor                                                                                                                                                                                                                                                                                                                                                                                |
|---------|------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | <b>0</b>   | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                         |
| Level 1 | <b>1-3</b> | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                           |
| Level 2 | <b>4-6</b> | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response; chains of reasoning are developed but the answer may lack balance.                                                       |
| Level 3 | <b>7-9</b> | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |

| Question Number  | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Mark |
|------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (e)<br>continued | <p style="text-align: center;"><b>Evaluation 6</b></p> <ul style="list-style-type: none"><li>• Rail operators are price regulated so not pure price makers</li><li>• Cuts in number of guards may mean adults travel illegally.</li><li>• Higher rail fares for adults £105.30 in Figure 3 (£35.80 more than 16-25 year olds) resulting in fall in consumer surplus and less allocatively efficient pricing. Overall consumer surplus may be lower.</li><li>• Despite price discrimination consumers are suffering train cancellations and government is having to rescue rail operators making large losses.</li><li>• Overcrowding happens on off peak trains – so government/rail operators have no incentive to continue offering young persons' discount.</li><li>• Deteriorating customer service despite price discrimination. Rail operators using additional revenue to pay out dividends or executive pay rises.</li><li>• Are rail operators/government aware of PEDs for different groups of consumers.</li></ul> | (6)  |



| Level   | Mark       | Descriptor                                                                                                                                                                               |
|---------|------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | <b>0</b>   | No evaluative comments.                                                                                                                                                                  |
| Level 1 | <b>1-2</b> | Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.                                             |
| Level 2 | <b>3-4</b> | Evidence of evaluation of alternative approaches which is unbalanced.<br>Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning. |
| Level 3 | <b>5-6</b> | Evaluative comments supported by relevant chain of reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and/or is critical of the evidence.     |

